Seshaasai Technologi (STYL)

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urther to our letters dated November 06, 2025 and November 12, 2025, we enclose herewith a copy of the transcript of the Q2 FY26 Earnings Conference Call held on November 12, 2025.
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he same is also being made available on the Company's website at:
https://seshaasai.com/media- news/wp -content/uploads/2025/11/Q2FY26 -Earnings -Call-Transcript.pdf
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his is for your information and records.
Thanking you,
Yours Sincerely,
For Seshaasai Technologies Limited
(formerly known as Seshaasai Business Forms Limited)
Manali Siddharth Shah
Company Secretary and Compliance Officer
Membership No.: A47109
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ncl: as above

"Seshaasai Technologies Limited
Q2 FY26 Conference Call "
November 12, 202 5

MANAGEMENT : MR. PRAGNYAT LALWANI – CHAIRMAN AND MANAGING DIRECTOR
MR. PAVAN KUMAR – CHIEF FINANCIAL OFFICER

MODERATOR : MR. PRATIK JAGTAP – EY INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY26 Conference Call of Seshaasai

Technologies Limited. As a reminder, all participant lines will be in the listen -only mode, and you will be able to ask questions after the m anagement's opening remarks. Should you need assistance during the call, please signal an operator by pressing star then zero on your tou chtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from EY IR. Thank you and over to you.

Pratik Jagtap: Thank you, Yashashree. Welcome, everyone and thanks for joining Seshaasai Technologi es Limited first earnings call for Q2 FY26. The results have been mailed to you along with the investor presentation and it will also be available at company website. In case anyone does not have the copy of investor presentation, please do write to us and we will be happy to share it with you.

We have with us today Pragnyat Lalwani, Chairman and Managing Director; Pavan Kumar, Chief Financial Officer. Pragnyat will start the call with brief company's overview and business update and Pavan will take us thr ough the financial performance for the quarter and half year. Then we will open the floor for Q&A session.

Before we start, I would like to remind you that anything that is mentioned on this call that reflects any outlook for the future, or which can be c onstrued as a forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annua l report that you can find on our website. Having said that, I will now hand over the call to Pragnyat ji. Over to you.

Pragnyat Lalwani: Thanks, Pratik. Good evening, everyone. A warm welcome and thank you for joining our first earnings call as a listed company. I would like to take this opportunity to thank our new shareholders for their trust and support.

As this is our first earnings call, I will start with a brief introduction about our company along with the business update. For some of you, this wi ll be our first interaction with us and for the others who have met us pre -IPO, it will be a quick recap. Our CFO, Pavan Kumar, will take you all through financial performance in more detail.

Seshaasai was founded more than three decades ago and has evolved from a secure print and fulfillment company into a technology -led solutions provider, powering mission-critical services for the BFSI ecosystem. Our business is organized across three core verticals: Payment Solutions, Communication and Fulfillment Solutions, and IoT S olutions. Each of these three verticals play a critical role in serving India's expanding digital and financial ecosystem.

Let me start with payment solutions. Payment solutions contributed about 50% to our top line in H1 FY26 and con tinues to be our largest vertical, serving leading institutions across BFSI ecosystem with secure end -to-end payment solutions. We are among the top two payment card manufacturers in India, supplying a wide portfolio that includes payment cards, che que books, and merchant QR kits. Our offerings cover the complete lifecycle from card manufacturing, personalization, and fulfillment, including metal cards, eco -friendly variants, and wearable

payment products, aligning with customer ESG goals and new -age digita l payment trends. All products are designed and manufactured within our certified, highly secure facilities and dispatched directly to customers' doorstep in few cases through our integrated fulfillment network. Our clientele includes almost every major pr ivate and public sector bank, small finance banks, operative banks, and payment

banks and leading fintechs . This breadth demonstrates the trust and scale we have built over time in India's financial ecosystem.

In H1 FY26, the payment solutions contributed about 50% of total revenue as compared to 67.5% in H1 FY25. This moderation is largely a result of lower card issuance volumes by banks, primarily external program -driven and regulatory factors, rather than any change in customer relationships or share of wallet. I would like to emphasize that we have not witnessed any customer churn, order cancellations, or renegotiations of terms. All our key client relationships remain intact, with ongoing engagements on both existing and new product initiatives. To giv e you a sense of the key drivers behind the moderation in H1 FY26, lower issuance of PMJDY by cards, which is the Pradhan Mantri Jan -Dhan Yojana cards, by our PSU Bank clients, which are linked to new account openings. Against an estimated 38 million new P MJDY accounts projected for FY26, only about 13.2 million were opened in the first half as per RBI data. There has also been a rise in inactive PMJDY accounts, around 26% of the total accounts in September 2025 versus 21% a year ago, and banks typically do not issue new or replacement cards for inactive accounts.

On the private sector side, the RBI's financial stability report has highlighted growing stress in unsecured retail lending portfolios, leading to moderation in new card issuances and a sharper focus on quality rather than quantity. Additionally, we are now seeing lower renewals of cards issued during the COVID -19 period, which is FY21-22, which created a temporary dip in the

base volumes in that financial year.
Finally, the broader macroeconomic and geopolitical environment, including global conflicts, supply chain challenges and tariff uncertainties, has moderated the pace of new customer acquisition by banks and delayed certain international expansion initiatives. Despite these transient factors , we are confident about the medium -term outlook. Historically, the second half of the year tends to be stronger for BFSI spends and card issuance, and we expect the same pattern to play out this year as well. More importantly, we are actively broadening t he payment solutions portfolio to align with new growth drivers, including focusing on high-volume projects such as financial inclusion programs and Mass Transit Card initiatives in partnership with system integrators, expanding our portfolio of eco-friend ly cards and metal cards and aligning with the ES G priorities of our banking clients, exploring strategic international alliances to tap new markets and diversify revenue beyond domestic BFSI. We remain confident that these initiatives, combined with our s trong customer base and integrated capabilities, will position us for stronger performance in FY26 and beyond.
Communication and fulfillment. It contributed 40% to our top line in H1 FY26. This vertical serves BFSI, government and enterprise clients, prov iding end -to-end customer communication management, identity and fulfillment services. This vertical has been an important growth driver in H1 FY26, supported by rising demand for personalized, compliant and technology -enabled communication. Our offerings in this vertical include the design, production and dispatch of

communications such as insurance policy kits, portfolio statements, regulatory notices, marketing mailers and transactional fulfillment documents. Identity and fulfillment services for large -scale projects like citizen ID cards, tax ID cards and government -driven programs requiring secure issuance of credentials. Print Management Services, PMS, where we handle the end-to-end supply and replenishment of essential printed materials to BFSI branches nationwide. This ensures standardization, cost efficiency and assured availability of critical m

aterials at every branch and customer touchpoint.
A key differentiator in this vertical is our proprietary logistics management platform, eTaTrak, which sea mlessly integrates our network of leading courier and logistics partners. It provides customers a centralized dashboard for real -time tracking, visibility, and control over all dispatches and deliveries, a crucial capability in sectors where timeliness and data security are paramount. In recent quarters, this vertical has also seen increased contributions from government and public sector projects, particularly around identity and citizen services. We expect this momentum to continue, supported by ongoing digitization of citizens and regulatory communications.
IoT Solutions. Our third and most technology -driven vertical is IoT Solutions, where we enable smart identification, tracking, and authentication using RFID and sensor -based solutions. This is our fa stest-growing vertical and represents the future growth driver of our business. Through this business, we are helping customers digitize their physical assets and supply chain, providing visibility from manufacturing to logistics to the point- of-sale. Our IoT solutions include the manufacturing of RFID inlays, tags, and devices such as tunnels, gates, kiosks, and point -of-sale units. Custom antenna design and chip bonding capabilities at our state -of-the-art facilities in Bengaluru. We import chips from lea ding manufacturers in US and Europe. A proprietary technology platform called izeIoT, which connects and manages the end-to -end IoT ecosystem of our clients. We currently serve a wide range of industries, including retail, logistics, renewable energy, manu facturing and exports. Our products help large -format retailers manage inventory more efficiently, assist real energy companies in tracking solar panels and components, and enable exporters to ensure product authenticity and traceability.
Our IoT business contributed about 10% top line in H1 FY26. We witnessed a strong growth of 31% to INR654 million in H1 FY26 versus INR500 million last year in the same period. The growth was driven by wallet share gains in renewable segments and new customer additions. We are also set to start SIM card supplies to telecom operators in H2 FY26, which should further accelerate growth in this vertical.
Beyond RFID, we are investing in adjacent and next -generation IoT technologies, including Bluetooth Low Energy, which is BLE , sensor -based RFID, and Special Purpose Tags. These innovations allow us to move further up the value chain by offering high-margin, customized solutions tailored to industry -specific use cases such as asset tracking and industrial IoT, cold chain monitor ing, authentication and anti -counterfeiting, and hybrid solutions combining RFID and BLE. We are already taking several POCs across these domains and are encouraged by the results. While RFID forms the foundation of today's adoption, we see a natural evolution towards more integrated, intelligent ecosystems powered by data, sensors, and automation. To strengthen our position, we have also

made selective acquisitions in the IoT space. These have been

strategically aligned to accelerate our innovation cycle and reduce time-to -market in high -potential solution areas. The integration of these capabilities enhances our expertise in BLE and sensor -based technologies, creating clear synergy with our existing RFID roadmap. Our differentiation lies in offering end -to-end solutions from design and manifesting of tags to deployment of infrastructure and platforms all developed and made in India. This comprehensive capability not only enhances customer stickiness, but also aligns with the national vision of Make in India and Digital India.

Further, we have developed several proprietary technology platforms including RUBIC, eTaTrak

, IOMS, and izeIoT that support car d personalization, order management and fulfillment, and IoT tracking. These platforms clearly differentiate us from pure manufacturing players and contribute to a steady recurring revenue stream. Our deep integration with banks, Fintechs, and enterprises combined with strict adherence to global standards such as PCI -CP, NPCI guidelines, and I BA guidelines under pins a trusted and recurring business model.

So in short, I would say across all three verticals, our competitive advantage is rooted in technology, trust, and customer intimacy. We do not compete on price. Instead, we compete on innovation, reliability, quality, and service, consistently delivering high -precision, secure, and compliant solutions tailored to customer needs. Our integrated presence across secure printing, fulfillment, and IoT uniquely position us at the intersection of physical and digital infrastructure, enabling us to support the next phase of India's digital transformation, whether in payments, citizen services, or smart manufacturing. We hold two granted patents and have 13 patent applications pending, which reflect our ongoing commitment to innovation and technology -led differentiation.

As we move forward, our focus will remain on broadening our product portfolio in payments and identity solutions, scaling high growth verticals like IoT, driving operational excellence through automation and platformization, and continuing to strengthen customer trust through quality and execution. Our fundamentals continue to remain strong. We expect H2 FY26 to be better, supported by seasonal pickup in BFSI volumes, steady momentum in communication fulfillment, and continued traction in our IoT business. We are confident that our strong client relationships, accredited facilities, and proven track record will enable us to deliver sustainable value to all our stakeholders.

With that, I will now request P avan to take you through the financial and operational highlights for the quarter. Over to you, Pavan.

Pavan Kumar: Thank you, Pragnyat sir. Good evening, everyone, and thank you for joining our Q2 FY26 earnings call. It is a pleasure to connect with you all here as we share our first results as a listed company.

Let me start with a quick summary of our performance for the quarter and the half year gone by.

Our total revenue for the quarter stood at INR 352 crores, up 13% Q -o-Q. This growth was driven main ly by strong traction in both payment and IoT solutions.

EBITDA for the quarter came in at INR 95 crores with an EBITDA margin of 26.9, an improvement of 336 bps sequentially, and 9 bps Y -o-Y. Our PAT margin is at 16.3% from 16.4% on Y -o-Y basis. In terms of revenue mix across our core verticals, payment solutions continue to be the largest vertical, which contributed 51% of the revenue, followed by communication and fulfillment at 38%, and IoT solutions at 11% in Q2 FY26. The top 10 customers contributed almost 63.5% of our revenues, and more than 98% of our revenues came from existing clients, demonstrating the depth of our client relationships and the stable base that we have built.

For H1 FY26, our total revenue stood at INR 663 crores, down 12% Y -o-Y. E BITDA came in at INR169 crores with an EBITDA margin of 25.3%, an improvement of 54 bps Y -o-Y. Our PAT stood at INR 94 crores, a fall of 10.5% Y -o-Y. We remain focused on maintaining healthy margins and ensuring consistent cash flow generation. As of 30th September 2025, we have a strong balance sheet with approximately INR 564 crores in cash, including the IPO proceeds, giving us the flexibility to invest in our growth priorities.

Going ahead, we remain committed to executing our strategic roadmap, drivin g growth in IoT, ramping wallet share a cross verticals, selective acquisitions, and exploring international opportunities. We

believe our margin base and our client relationships provide a solid foundation to scale. Thank you once again for joining us.

With this, I hand it back to the moderator to open the floor for the Q&A session.
Moderator: Thank you very much. We'll take our first question from the line of Devesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal : Good evening, sir, and thank you for the opportunity. Sir, my first question is on your payment business. In your opening comments, you did mention that in this H 1, the contribution from the payment business has reduced to 50% versus 67% last year.
So, I was keen to know the trends or the reasons that you shared. Are these industry -wide reasons the entire industry saw a decline this time or it was more specific to us? And in that context, what would be the market share that we would have in this first half versus last first half in the total card issuance?
Pragnyat Lalwani: Yes, Devesh, it's a good question. I would say the factors that we have given you are affecting the industry as a whole . So, it's not that it is something which has affected only Sesha asai.
Okay, probably this is an impact which is across the board for all the players. Maybe, depending upon the customer relationships and the customer allocation of quantum, the impact could be having a slight delta across players. But by and large, I think it's an industry -wide imp act. Now probably for us to come to wallet share on a quarter -on-quarter basis is difficult to assess because we may not know the market. But I can at least say that from our relationship perspective, the quantum of allocation from a customer relationship perspective, we have actually probably gained a few accounts in this period rather than lost any accounts. I would say from a market share perspective, it's too short a period for us to have data because that data is not there. But I can say with reasonabl e confidence that we probably will be retaining our market share as of March 25, for sure.

Devesh Agarwal : Understood, sir. And so, you said that second half is likely to be better than the first half. Is this basis the general trend that you see, what you alluded to that BFSI sector generally is more heavier on the second half? Or there's also a basis your order book that you would have from your clients in terms of new issuance?
Pragnyat Lalwani: So, it's a question which has got both the factors. So, typically, what we've seen is H2 has a bias to be slightly better when it comes to most of the BFSI offerings that are absorbed by the market.
And also for us, our entire business model is around the business plan that customers share with us and their forecasts that they share with us. And we're also having a couple of interesting projects which have got signed up, which are to play out because they're depending on certain contingencies on the field in terms of system integration, etcetera.
So, the kind of v isibility that we have with our as -is business, which we expect to be better in H2 plus also certain new businesses which are in the pipeline. Okay, both these combined together, we were reasonably confident of having a better H2 compared to H1.
Devesh Aga rwal: Sir, in H 1, we have seen a Y -O-Y decline in our payments business. You think we will be reporting a growth in the second half on a Y -O-Y basis?
Pragnyat Lalwani: Probably, yes. I mean, on an overall basis, I think we should have a much better H2 compared to H1 on the overall number basis. Okay. Last year for us, the H2 on the payment side was slightly weaker because we had explained that in the earlier roadshows as well. So probably the H2 this year on a Y -O-Y basis, we probably should be a tad better than last year.
Devesh Agarwal : Right, sir. And sir, within this payment business in your DRHP and even in your meet , you had spoken about metal card as an opportunity. Could you share some breakup within your payment business, how the PVC cards have done and how the metal card penetration has helped us? Any sense around that will be very helpful, sir.
Pragnyat Lalwani: So, essentially, on the metal card side, we are working on three different layers. One obviously is the current customers who are engaged with us for metal card and the ones that we are working with. There's another space where we are working on certain mass migration programs which are being discussed in the Indian market, especially by the payment schemes, which RFPs are in place, and we are kind of engaging with them. And thirdly, we also have on the metal side, got shortlisted by a couple of very large global players where we have got shortlisted, we have participated in the RFPs, etcetera. So, I think it will take some more time for it to play out, but I think from our strategy and our vision that metal has good potential, I think it's playing out at least in the sense that we are at a stage where the customers are in the process of evaluating the product and they are also spanning out their strategy. So, probably, as time unfolds, we should see some traction on that front.
Devesh Agarwal: And so, the export market, that is also what something we were targeting?
Pragnyat Lalwani: Yes. So, that's what the two of the RFPs that we are working on the metal projects are global RFPs basically. So, apart from that, even from the PVC card s side, there are some customers where our products have got qualified and we are hoping to start the business with them soon on the PVC card side.

We had one unf ortunate situation that we had deeply engaged with one customer in Middle East, but because of geopolitical equations post this skirmish that we had with the neighbor in April - May, we had to kind of take a step back in that relationship because it was not strategically aligned to our national interest. So, we did work almost a year on that project, but that did not see the light of day. That kind of was a little bit of a step back for us. But otherwise, we are working on both the global RFPs on metal as wel l as the partners. So, we are working with geographies in Africa where our cards have been approved.

Devesh Agarwal: Right, sir. And sir, in our IoT business, we are excited about the growth in the IoT business and there could be two folds where the growth can come. One is through new customer additions and other two are new products. You also talked about some new products that you are working on. So, could you share that growth that will be driven in the second half? Are we looking to add some more custom ers which can drive growth in the second half?

Pragnyat Lalwani: Yes, we are working on something. Probably, at the opportune time, we will be able to share that with you, but there are some sizable projects which are pretty close to closing and which will have a very sizable contribution for us in H2 and also in FY27.

Apart from that, even the existing strength that we have, for example, in renewables, we really gained a huge amount of wallet share in the renewa ble space from maybe three to four customers. Probably, we should be having double -digit customers by the turn of the year. And also, we've been able to gain a lot of adjacencies in the existing retail formats that we are working with the customers. Also, the BLE and the RFID combination has been working very well for us. So we've had a few projects there as well. So, in IoT, I would say it's a combined mixed bag where we're working on adjacencies on the existing customers, increasing our depth in the vertical s where we are already present, such as renewables and retail. And this one large opportunity which will play out maybe in the next couple of weeks.

Devesh Agarwal: And broadly, what

can be the mix between retail and renewable within the TAG business?

Prag nyat Lalwani: Probably, globally, also, if you see, historically, retail has been a very dominant contributor to the revenue. So, that trend for us also will remain the same.

Devesh Agarwal: Right. And sir, have we paid out the debt from the IPO money that we have raised?

Pragnyat Lalwani: Yes. So, it didn't reflect in our book because the IPO w as listed on 30 September itself. Around the second week of October, about INR300 crores of debt was repaid completely as per the IPO proceed s plan.

Devesh Agarwal: Okay. So, the benefit of that will be seen in the third quarter onwards, in terms of interest cost savings?

Pragnyat Lalwani: Yes, definitely.

Devesh Agarwal: And just one clarification, when you said that for the payments, H 2 is likely to be better than Y - O-Y, were you referring to the absolute card volumes or were you referring to the revenues?

Pragnyat Lalwani: I think both are interlinked, isn't it?

Devesh Agarwal: Okay. So, they are interlinked. Perfect, sir. Perfect. This answers all my questions. Thank you very much and all the very best, sir.

Pragnyat Lalwani: Thank you very much.

Moderator: Thank you. We'll take our next question from the line of Harsh Shah from HSBC Asset Management. Please go ahead.

Harsh Shah: Thank you for the opportunity. Just a couple of questions from my side. If you look at FY25 versus FY24, again, our revenue was sluggish at that point of time also, but we had a very good margin lever, which led to almost 15% of net profit growth for the full year. This year seems to be a si milar situation, let's say, on the revenue part, but at the same time, margins are also very similar to what we reported last year. So, for this year, do you think we have confidence of delivering, let's say, a 15%, 20% net profit growth over FY25? And if yes, where exactly is this conviction coming from?

Pragnyat Lalwani: Well, I would say, Harsh, that we expect the H2 to be better than H1. We probably would not like to give any guidance for the full year in terms of the PAT margins here, but all we can sa y is that things are shaping up well for us and we should not be very far from what we have set out for ourselves at the start of the year.

Harsh Shah: Okay. What happened in Q3 of FY25 last year? I think that was a really sluggish quarter for you guys. I am just trying to minus your full year number with the nine -month number that you reported for the FY25. Q3 seems to be reporting only INR26 crores of PAT. What exactly

happened in Q3 of last year?
Pragnyat Lalwani: As we explained earlier, in the previous year in Q3 we had one -time projects which came in. So, the last Q3, if you look at a comparative basis, on a Y -o-Y basis, the Q3 of last year was lower than the Q3 of the previous year. But the revenue in Q3 of last year was about INR341 crores, right? An d what's the PAT is ?
Harsh Shah: Q3 seems to be around INR352 crores. But net profit is coming at only 26 crores. If I am just deducting your full year reported numbers from the half -year number that you reported this time and the Q4 number that you reported in your last quarter's result.
Pavan Kumar: Harsh, hi. This is Pa van here. The PAT for the period is about INR54 crores for Q3, which is about 15.8%.
Harsh Shah: Q3 of FY25, you are saying INR54 crores of PAT.
Pavan Kumar: Correct.
Harsh Shah: So, just help me in one thing, Pa van. In first half, last year first half FY i.e. H1 of FY25, you've done INR106 crores of PAT. In the Q1 result, you have said that you have done Q4 PA T of INR63 crores. So, INR106 cores plus INR63 crores is around INR169 cror es. And for the full year of FY 2025, you have done around INR195 crores of profit.

Pavan Kumar: N

o, Harsh. The numbers as we have filed were about INR223 crores. So, the differential there is INR54 crores.
Harsh Shah: Understood.. Okay. Yes . That's it fro m my side. Thank you.
Moderator: Thank you. We will take our next question from the line of Bhavya from Equitymaster. Please go ahead.
Bhavya: Thank you for the opportunity. So, my first question was, you have shared out capex plan of INR200 crores for FY2 7. So, is this the only plan or do you have more capex?
Pragnyat Lalwani: So, basically, the capex plan of INR200 crores was spread across a period of 18 months. If you see the capex plan that has been mentioned as part of the objects of the IPO, has been expansion of the existing infrastructure and capacities of the company. So, in this capex plan, we have only stated out the equipment that we had clarity at that point in time as we set out on the journey. But obviously, for housing these equipments and ex panding the infrastructure, we will be probably enhancing also the immovable infrastructure that currently exists to house these equipments. So, apart from the capex for the equipment, we will also have capex, which will have to be done on our immovable pr operties as part of this plan.
Bhavya: Can you share any number?
Pragnyat Lalwani: So hey Pavan, how much we done until now?
Pavan Kumar: So, while we may not be able to give the future expansion, in the first half of the year, we have added assets of about almost INR42 crores. So, that is before the IPO fund came in. So, that goes as far as our natural expansion and growth requirements are concerned. So, over the period of time, along with the IPO objects that we have stated, we will keep adding equipments and factory land and building as per the requirements..
Bhavya: Okay. Thank you. And the next question was on payment wearables side. So, can you give the figure for that, like how much of total revenue is coming from a payment wearables side?

Pavan Kuma r: So, payment wearabl es, is one of the form factors on payment issued by the payment schemes. So, we have innovated and have been supplying to various issuers. The revenue around it may not be material enough, but it is definitely an innovative product, which we see issuers wanting to issue as per the growing needs of different age groups.
Bhavya: Okay. Thanks. That's it from my side.
Moderator: Thank you. We will take our next question from the line of Devansh from Equentis. Please go ahead.
Devansh: So, sir, I just wanted to understand the card s, that we issue on the payment side of the business , How much percentage of it is from the replacement demand and how much is the new issuance?

Pragnyat Lalwani: So, essentially how it works for us, Devansh, is that customers give us the data okay and the data decides that the card is being issued from a given date till an expiry date, right. So, for us, the data comes in together, whether it is a new issuance card or a renewal card. Typically, we do not get the sp lit from the customer as to how much of it is an add-on card or is it a replacement card or a new card or a fresh card issuance. Also for us, as per the guideline, the moment the card gets dispatched within 48 hours, we have to purge the data. So, we keep no credential or details of the data processed by us. All that we keep is the card count for the invoicing perspective.

So, we have, A, a customer does not give us any visibility and, B, from a compliance perspective, we have no surrogate to us to analyze this and find out which is renewal and which is fresh. So, it will be difficult for us to answer that question in black and white because we do not have visibility on that.

Devansh: Okay. Can you share the volume data for total price for FY20? So, my sens e is Q1, Q2, the volume could be lull in FY20. So, can I get the volume data? How much starts at Q

1, Q2, Q3, and Q4?

Pragnyat Lalwani: Yes. So, what we have done is we have actually shared our revenue for the payment solutions vertical, okay. We also kind of shared in the DRHP as well, the total card that we issued last year, which gives an idea of also our market share.

But since we have constraints, then we had specific permissions from clients to share those numbers. Now, since it is governed by certain regulation s and we are governed by ND A's, so we are not in a position to share the card number data as such.

Devansh: So, FY20, you can share the volume data for total cards .

Pragnyat Lalwani: FY20?

Devansh: Yes, FY20, because I am assuming the replacement demand comes in like five years. So, I just wanted a sense of that?

Pragnyat Lalwani: Okay. So, I mean, maybe we can share that with you offline. We can research and share that with you, yes.

Devansh: That works. So, another question was, so our H2 of FY25, why was it less exactly?

Pragnyat Lalwani: Yes. So, essentially what has happened is that in FY23 and 2024, we had essentially due to some program migration and also certain customers' bulk re -carding, we had close to about 1.8 crores card quantity, which is close to about INR150 crores of revenue that had come in in 2023- 2024, which was a one -time revenue, which was actually stated also in our DRHP.

So, that volume was essentially a volume which was, if you see historically in 2022-2 023, we were about INR1,100 crores. 2023-2024, we were about INR1,550 crores; and 2024-2025, we were about INR1,462 crores.

So, if you see the growth between FY22-2023, 2023- 2024, it was from INR1,100 crores to INR1,550 crores, right? It was quite a steep growth. So, this growth also had within it about

INR150 crores of one -time bulk migration revenue, which came in. And factor for that in FY23-2024, then in 2024 -2025, we still had a positive growth on a Y -o-Y basis.

Devansh: Got it, got it.

Devansh: So, do you see because of Q3, Q4 being better than Q1 and Q2, you see H2 being better for us in FY26, right?

Pragnyat Lalwani: So, basically, that is what we said earlier on, the two factors. One is obviously the factor that you mentioned. The second is the customer forecast and the plans that they've shared with us.

And third, also, we have certain other one -off projects that are at a very good stage where we should probably see the revenue play out, especially in Q4.

So, with all these three, four factors put together and also the premium cards and the other cards showing some traction, with these three, four factors together, we are expecting H2 to be better than H1.

Devansh: Great. I'll jump back in line .

Moderator: Thank you. We take our next question fr om the line of Sa nil Desai from ICICI Securities. Please go ahead.

Sanil Desai: Good evening, sir. Thank you for the opportunity. So, my first question is that if we see your gross margin, that has seen a significant improvement to almost now 46%. So, what has driven this improvement? So, has there been any decline in prices or some better negotiations? What has been the reason for this?

Pavan Kumar: Hi, S anil. I'll take that. So, the improvement in gross margins is attributable to a bunch of factors across all our verticals. Primarily, we have benefited from a favorable product mix across the verticals. Additionally, operational efficiencies have also kicked in in this quarter with the volume growth as you rightly said .

Also on the procurement initiative s, we were able to source from vendors with favorable payment terms, and also our import costs reduced. There's been improvement in paper prices as well. This quarter, we also used in -house manufacturing advantage on the inlays in our IoT vertical, which r educed dependency on external vendors and improved the contribution. Overall, I think these thi

ngs have aided in improving our margins on the gross margin side on a quarter -on-quarter basis.

Sanil Desai: Okay. So, when you say favorable product mix, can you elaborate more? I didn't get that point.

Pragnyat Lalwani: So, typically what happens is that in Q1 of every financial year, we have certain businesses that

come in from the communication and fulfillment vertical, which have very, very large volumes in the first quarter. We also had some good volumes of metal cards that were coming out in this period. And also, we had certain value -added stuff that we did in the IoT business.
So, what happens is that the renewable solar tags that we do, those come with i nlays which are produced by us in- house, right. So, typically that's what the meaning was. If the product is such

that it allows me to have better insourcing, it allows me a margin expansion there. Plus also, in Q1, as I said, we had one project of the com munication fulfillment vertical, which had a larger volume, which played out. So, these two put together probably is what he meant by the product mix.
Sanil Desai: Okay. Got that. Okay. And the second question would be on the export business. So, has any of the export business started yet in the payment revenue? Is there any mix from the export business in H1 till now?
And secondly, if you can share, which are the geographies you are targeting? And when you say you would go into the export business, would it just be that you would be sending cards from there or you would actually have some office or some kind of a manufacturing unit set up over there and have a business set up like that? So, how would that be?
Pragnyat Lalwani: Historically, we have a relationship where we've been exporting cards from neighboring countries like Nepal. We've done some projects earlier with Sri Lanka as well. These are two countries we've worked on in this financial year as well. We are working with some partners in the A frican continent where our products have been approved and we should be seeing some business coming in there. On our high-end products such as metal cards, as we stated earlier, there's one global RFP that we've been shortlisted with. We're under the final stage of evaluation to see how that will play out. And there's another large global player with whom our samples are under qualification for that.
So, on the metal card side, we basically are of the firm opinion that we would like to have leveraging our make in India, manufacturing of high-end metal cards. We are also working with some technology for wooden card manufacturing in India, but we would not probably want to set up our perso bureaus in those countries. That's the strategy. As of now, we feel it 'll be important for us to get our product right, the product pricing right, ensure that the market has a product acceptability, see how that market plays out because in the current geopolitical situation with tariffs fluctuating one way or the other, it's better for things to settle down and see where things are moving and then make your strategy because at the end of the day, we see especially in our IoT vertical and also in our payments vertical, we see there's good potential in the domestic markets itself . So, we want to kind of ensure that we deepen our market penetration and our market share in the IoT vertical because we probably could have a little bit of advantage as an early mover. And then we'll see how the global response to our products comes in and then maybe build up our strategy for future whether we really want local presence in those markets.
Sanil Desai: Okay, that's helpful. Yes . Thank you that would be all from my side. Yes .
Moderator: Thank you. We'll take our next question from the line of Franklin Mor aes from Reliance General Insurance. Please go ahead.
Franklin Moraes: Yes, thanks for taking my question. So, can you share the revenue for payments and the secured communication for Q2 FY25?
Pavan Kumar: Hi, Franklin. This is Pav an he re. So, in Q2 FY25, you mean?

Franklin Moraes: Yes, yes, the base quarter last year.
Pavan Kumar: Yes. So, payment solution 69%, communication fulfillment was 24% respectively. Also, in absolute numbers, payment solution was about INR272 crores, communicat ion & fulfillment was about INR94 crores. IoT was 7%, was about INR27 crores.
Franklin Moraes: Okay. In terms of realization, in terms of your cards or your metal cards or your RFID tags, how has the realization moved? Maybe if you have to compare it on an H1 basis, this year versus last year.
Pragnyat Lalwani: On the IoT side, we probably have seen definitely the new generation of chips that have come in. Okay, so we will probably see, as it plays out, we'll probably see some optimization on the input cost . We have not seen it yet, but we'll have to see how it plays out with the customers in terms of transferring their benefit. On the payment card side, we've seen the price change remain more or less static as per the last year's levels.

Franklin Moraes: And what about RFID?
Pragnyat Lalwani: RFID, as of now, we haven't had any price impact overall.
Franklin Moraes: Okay. Can you share your segmental margin for the three divisions?
Pragnyat Lalwani: So, basically, we have a blended EBITDA that we share becau se we have a lot of infrastructure, platforms, people, and resources which are commonly used. So, we have our blended EBITDA only which comes out. So, we actually don't have margins across verticals.
Franklin Moraes: Okay. So, in terms of inorganic acquisi tions, which you mentioned you will do on a selective basis, any areas or segments that you are particularly targeting?
Pragnyat Lalwani: I think as of now, we've been looking around and we keep evaluating within verticals which makes strategic sense for u s with respect to the business vertical, but there's nothing worthy of sharing at this point in time.
Franklin Moraes: Okay. Would you be able to share some longer -term targets in terms of your vision, maybe a three-year or five -year vision, in terms of how your mix is going to move, or do you have a revenue growth kind of target in mind, anything of that sort?
Pragnyat Lalwani: The interesting part of our business is that we have three verticals, and each of these three verticals has its own levers of grow th. Each of them has a very critical role to play in the target markets that they address, and depending on the market need, each of them shifts gears as per needs.

So, from that way we feel definitely the payment vertical will have a steady pattern. The fulfillment vertical will continue to do well. The IoT, which is today going very well, is on a small base, and I think we continue the momentum of growth in IoT business. Probably, since you're asking a three-to -five year question, we feel that will also become a dominant part of our entire revenue contribution. So, definitely, IoT share to our contribution will expand as we go along.

Franklin Moraes: Fair enough. Thanks a lot.
Moderator: Thank you. We'll take our next question from the line of Rohit M., an individual investor. Please go ahead.
Rohit M.: Hi, sir. I'm not an individual investor; I'm calling from Tata AIG. Okay, thanks for the opportunity. Sir, I want to know that why your tax rate is very erratic in Q1 , it was 33%, in Q2 , again, it is 24%?
Pavan Kumar: Yes. So, Rohit ji, I will answer that. So, in Q1 , there were a bunch of provisions that we had made at the end of the previous financial year, fiscal 2025, and which are based on allowances based on payment.

So, as the quarters moved from Q1 to Q2, as and when those expe

nses were paid, so those disallowances were reversed back, and that's why we find the effective tax rate to be fluctuating between 24.5% in Q2 versus 33% in Q1.
Rohit M.: But looking forward, it will be at 25% odd, correct?
Pavan Kumar: That was the average rate that we had in our previous fiscal as well. So, we've traditionally been in a 25%, 26% range over the last couple of years.
Rohit M.: Okay. If I see from quarter one to quarter two, you have added close to INR40 odd c rores revenue in one quarter. So, can you give some breakup, like, how much was the new business, how much was from the existing customers?
Pavan Kumar: Yes. So, Rohit ji, I mentioned that earlier when I was speaking. So, our revenue from the existing business, existing customers was about 98% of the total revenue.
Rohit M.: Okay.
Pragnyat Lalwani: I'll just come here, Rohit, just to add that typically how it works in our IoT business is that though we are shortlisted by a brand, the brand nominates us to w ork with their sub-con vendors. So technically, for me, it's the same customer. But when they go into adjacencies, for example, when they go from apparel to shoes, shoes to cosmetics, cosmetics, accessories, we have new vendors who get onboarded into our portfolio to serve to that expanding adjacencies for those customers. So technically, there are new vendors who come on to our platform. But from our measurement perspective, the way we measure our performance is they come under the same umbrella of that one customer . So essentially, it is a customer when we evaluate at least from an internal perspective, it is a brand, but the adjacencies come in from those customers.

So as we expand adjacencies, there could be some common subcon vendors who also do multiple works for that brand or there are new vendors who get onboarded. So probably we've added vendors in the solar, in the renewable business, and we also added certain more categories for existing brands. So these are revenues which come in from technically new customers, but from a measurement perspective from an existing customer.

Rohit M.: Yes. But just want to have a feel because of 13.3% there will be some volume growth from the existing customer and the new category, which the customer they would have approved you as a vendor. So this is what my understanding is. And that additional growth additional category which a customer where a customer has been added, so that will be the new revenue stream in the second half or going forward?
Pragnyat Lalwani: Correct, correct.
Rohit M.: Yes. So I wanted that breakup only. Like out of 13.3% there will be some portion where you would have had some volume growth and some new business from the existing customer where you were not there?
Pragnyat Lalwani: Maybe we have, you know, go a little deep diving and we can come back to you on that one. Yes.
Rohit M.: Okay. My third question is when you say that second half to be better than the first half, then logically the second half will have a better margin than the first half. So can I say that the quarter two FY26, the margin, which is 26.9% rest of the two quarters, the margin will be higher than the current quarter? Or like if I'm wrong, can you correct?
Pavan Kumar: So, while the revenue from the second half would inc rease, the margin profiles more or less we've estimated them to remain the same. There may definitely be further operational efficiencies that we may add. So the absolute numbers would increase. But right for now, we estimate the margin numbers to be on th e same percentage range.
Rohit M.: Okay. As in the call, you have highlighted that you are waiting for a big order win in quarter four next year. So that will be a onetime in nature or it will be a longer -term tenure contracts?
Pragnyat Lalwani: That proje ct probably we've been told will run for

about three quarters, from Q4 of next year.
So right now, we've got visibility for about two quarters from them . If that plays out very well, then they themselves will probably get a Phase 2 of that project.
So for now, there is one project that we are working on in the IoT space, which will come in, which is going to be recurring in nature, which will play out probably a little bit in Q3, but majorly into Q4 and then continue in the next financial year. That' s a sizable one. T hen on the payment side, the project that we are working on, that one probably is a one -off project for now that we got visibility from the customer.
Rohit M.: Okay. Just a suggestion from my side, if you can give more variables or more data segment -wise revenue and the number of card issuance this quarter versus RFID. So it will give a sense, it will be very easy for us to have that trend and predict something.
Pragnyat Lalwani: I think the point is well taken. So as much as it is prudent for the business and for our compliance perspective, we will endeavor to give that much more data. But maybe somewhere we'll be constrained where we are crossing the line from a compliance perspective.

Rohit M.: Yes, but I guess, you can give me like number of card issuance, this current quarter as compared to the previous quarter. I think, this is all is what, whatever the data you have given in the RHP. So, that is only what we have been, I am asking, I'm not asking beyond RHP. It's like number of card i ssuance, number of RF, RFID issue d, number of tags. So, what will happen is, this will help us to get, is this a volume growth or the segment is sluggish, that will help us a lot. That's it. Thank you and all the best.
Moderator Thank you. We'll take our next question from the line of Devansh from Equentis. Please go ahead.
Devansh: Yes, sir. So, basically, my question is, Q3, Q4 will be a growth on a Y -o-Y basis, and how much would be the delta? Will it be a single digit or double digit?
Pragnyat Lalwani: Devansh, for us, as we explained, the volume driving is determined by our customers. So, once the data comes in from them, and based on their business plan, we are able to say that. So, I would say, net -net, I would take it as an H2 rather than a Q3, Q4, n ot to be held to that. But we expect the H2 to be better than H1.
Devansh: But that would be on volume terms or realization basis?
Pragnyat Lalwani: Volume terms and realization terms, both.
Devansh: Volume and value terms, both, right. Okay, and any growth guidance for the next year, for FY27, any revenue or margin guidance?
Pragnyat Lalwani: I think probably we'll come to that as we go along. But all we can say is that the way we are poised right now, we're expecting to see a good growth in probably in the H2 as well and in FY27 .
Devansh: Okay, great. Thank you so much.

Moderator Thank you. As there are no further questions, I now hand the conference over to management for closing comments. Over to you, sir.
Pragnyat Lalwani: I would like to thank all to attend this call, and especially all the investors, shareholders who trusted Seshaasai. We are committed to ensure that we deliver as we promised, or as the expectation from us is from the stakeholders. And we probably will endeavor ourselves to keep expectations in mind, and also to keep our own targets in mind as we go along, and ensure that we live up to those numbers.
Moderator Thank you, sir. On behalf of Seshaasai Technologies Limited, that concludes this conference. Thank you for joining us and y ou may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

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ear Sirs,
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urther to our letters dated January 23, 2026 and January 30, 2026, we enclose herewith a copy of the transcript of the Q 3 FY26 Earnings Conference Call held on January 30, 2026.
T
he same is also being made available on the Company's website at:
https://seshaasai.com/media- news/ wp-content/uploads/2026/02/Q3FY26 -Earnings -Call-
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his is for your information and records.
Thanking you,
Your
s Sincerely,
For Seshaasai Technologies Limited
(formerly known as Seshaasai Business Forms Limited)
Manali Siddharth Shah
Company Secretary and Compliance Officer
E
ncl: as above

"Seshaasai Technologies Limited
Q3 FY '2 6 Conference Call "
January 30, 2026

MANAGEMENT : MR. PRAGNYAT LALWANI – CHAIRMAN AND MANAGING DIRECTOR – SESHAASAI TECHNOLOGIES LIMITED
MR. GAUTAM JAIN – WHOLE -TIME DIRECTOR – SESHAASAI TECHNOLOGIES LIMITED
MR. PAVAN KUMAR – CHIEF FINANCIAL OFFICER – SESHAASAI TECHNOLOGIES LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y LLP, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to Seshaasai Technologies Q3 FY '26 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y Investor Relations team. Thank you and over to you, sir.

Pratik Jagtap: Thank you, Sagar. Welcome everyone and thanks for joining Seshaasai Technologies Q3 FY '26 earnings call . The results have been mailed to you along with the investor presentation and it will be also available at www.sesh aasai.com. In case anyone does not have the copy of investor presentation , please do write to us and we will be happy to share it with you.

To take us through the results today, we have management of the company represented by Pragnyat Lalwani – Chairman and Managing Director , Gautam Jain - Whole -Time Director and Pavan Kumar - Chief Financial Officer . Pragnyat will start the call with brief overview about the company and business update and Pa van will take us through the financial performance for the quarter and 9 months. Then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned in this call which reflects any outlook for the future , or which can be construed as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with the SEB I and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Pragnyat sir. Over to you, sir.

Pragnyat Lalwani: Thanks, Prat ik. Good evening, everyone and thank you for joining us today for the Q3 FY '26 earnings call. It is always a pleasure to connect with you all and discuss the quarter update.

Q3 FY '26 has been a significant quarter for us both from an operational and strategic standpoint. While macroeconomic environment is uncertain, we remain focused on disciplined execution, advancing capacity expansions, securing multi -year contract wins and strength ening our technology and innovation roadmap.

During the quarter, we reported revenue of INR 374 crores , reflecting a growth of 6.1% sequentially and 10.1% on a Y-o-Y basis. PAT stood at INR 64 crores with a PAT margin of 17.15%, a growth of 19.3% on a Y-o-Y basis.

The growth in Q3 was supported by increased contribution by payment solutions and steady contribution from our communication and fulfilment and our IoT solutions. This indicates improved scale and better throughput in core businesses. At the same time, we are continuing to invest for future growth through capacity expansion across IoT, automation and metal cards, ensuring readiness ahead of the demand growth.

So let me discuss the business highlight s of each of the verticals and then Pa van will discuss the financial updates.

Payment solutions continue to be a core pillar of the business, contributing 53% to our top line in Q3 FY '26 versus 51.1% in Q2 FY '26 . This growth was primarily driven by increased offtake from existing and new customers.

In payment solutions, we secured tender wins for multi -year contracts with four of our existing PSU Bank customers for payment cards. The above also includes the debit card procurement and personali sation contract from one of the largest public sector banks in India. We also secured tender wins for multi -year contracts with three pub

lic sector banks for personalised checkbooks and merchant QR kits. These multi -year contracts based on volume allocation represent a business potential of approximately INR489 crore s for Seshaasai as per the budgeted tender value over the tender period. The revenue accretion would be on a consumption basis over the period of these contracts. In addition to this, we also onboarded eight of the customers for payment cards across banking, fintechs and forex card issuers. We are seeing strong traction in the metal card and premium card segment.

We have been shortlisted by a large European fintech to supply metal and PVC cards globally. This is a very prestigious account and holds good potential. Also, an update from our last earnings call regarding the RFP of the domestic payment scheme for suppl y of metal cards. We have submitted our bids for this RFP and await next steps.

In the payment ecosystem, metal cards have emerged as a powerful symbol of differentiation and loyalty. In India, multiple banks have launched metal cards predominantly as credit cards and now banks are taking this trend to debit cards as well to retain an d grow the premium banking segment. While volumes remain exploratory, significant growth is expected driven by aspiration,

brand positioning and higher lifetime customer value.
Case in point being, one of the largest PS U banks I mentioned above , has also expanded its scope to include next generation offerings such as metal cards, biometric cards, dynamic C VV cards and non -card wearable form factors in this new contract. We are seeing rising demand from transit -led projects for interoperable payment cards used in metro and buses.
Our communication and fulfilment segment continues to remain stable and contributes 36.4% to the top line in Q3 FY '26 . Demand from BFSI, government and enterprise customers remain healthy supported by regulatory communication requirements, identity -led programs and specialized fulfilment needs. Our proprietary software platforms including the logistic s aggregat ion software continue to differentiate us in this space and deepen customer stickiness.
In communication and fulfilment solutions, we secured tender wins for multi -year contracts with 5 customers across banking and government institutions. These multi -year contracts based on the value allocation represent the business potential of approximate ly INR210 crores for Seshaasai as per the budgeted tender value over the contract period. The revenue accretion would be on a consumption basis over the period of these contracts.
In IoT solutions which is 10.3% of top line in Q3 FY '26 . Adoption of RFID solution continues to expand across industries such as retail, logistics, renewables and manufacturing. In IoT solutions vertical, we have seen 6 new wins across various sectors this quarter. Notable among

them is a special win for us which is the largest Indian retail giant having more than 19,000 stores for whom we have begun our supplies for two of their fashion sub -brands and shortlisted for their major RFID rollout shortly.
In retail, RFID has moved from experimentation to execution. Tier-1 large retail format players have already demonstrated how item -level visibility drives accuracy, speed and omni -channel readiness.
Now we are seeing traction amongst Tier-2 retailers adopting RFID to compete on efficiency, reduce stock losses and enable store -led fulfilment. Affordable tech costs and faster ROI cycles are accelerating this shift, making RFID a foundational capability rather than a premier add -on.
Seshaasai 's unique strength of chip bonding, inlay design, specific use -case-based tag manufacturing, its speed and agility has been a differentiator and enabler to help solve customers' problems and offer relevant technology solutions.
This large -scale manufacturing of garments m

oving to India by the global players and the various FTA agreements done by the Government of India, we feel Seshaasai with its diversified RFID portfolio is well -positioned to capture the opportunity of source tagging or RFID happening from India.
It is only due to the diligent efforts of our team that our contributions have been recognized within the industry , and we have been awarded the Partner of the Year at the Intelligent Ecosystem Summit by Avery Dennison . Across sectors, one theme is clear, visibility is no longer a nice -to-have, it is mission -critical.
In logistics and supply chain, the conversation has evolved from beyond track and trace to condition awareness. Sensor -based traceability using data loggers, Bluetooth devices, smart sensors is transforming cold chain pharmaceuticals and high -value shipments. Real -time data on temperature, shock, humidity and dwell time is becoming essential to compliance, quality assurance and brand trust.
We are standing at a defining moment in India's digital and physical transformation where identity, connectivity, traceability and trust are converging to reshape how commerce, healthcare, logistics and financial services operate at scale. The opportunity before us is vast. It lies in embedding intelligence into physical objects, enabling trust through data and building platforms that scale across industries from retail and logistics to healthcare, BFSI and IoT.
Seshaasai is on this very journey, leading this transformation which will not just improve efficiency , but define the next decade of resilient, connected and intelligent commerce in India.
We also continue to strengthen our technology moat through six new patent filings in the last 9 months as well as align ed certain strategic technology partnerships for building advanced product authentication and anti -counterfeiting capabilities in our product offerings.
Overall, Q3 was a quarter of preparing the business for scale, increasing capacity, advancing technology capabilities and securing long -term contracts while maintaining discipline on execution and capital deployment. Currently, we have over 200,000 square feet under

construction across four locations for our new facilities at Bengaluru, Nagpur, Navi Mumbai and Kundli for our future business growth.

Looking ahead, we are optimistic about the medium to long -term outlook. Historically, the second half of the year, especially Q4 has tended to be stronger across verticals, and we expect this trend to play out in Q4 FY26.

With that, I will now request Pa van to take you through the financial and operational highlights for this quarter. Over to you, Pav an.

Pavan Kumar: Thank you, Pragnyat sir. Good evening, ev eryone and thank you for joining our Q3 FY26 earnings call.

Let me start with a quick summary of our perf ormance for the quarter and 9 months gone by. In Q3 FY26, our total revenue stood at INR374 crores, up 6.1% quarter -on-quarter and 10.1% Y -o-Y. This growth was primarily driven by steady execution across all verticals along with traction in the payment solutions business.

EBITDA for the quarter came in at INR100.7 crores with an EBITDA margin of 2 6.95%, an increase of 316 bps Y -o-Y. Our PA T for the quarter stood at INR64.08 crores with a margin of 17.15%, up 133 bps Y -o-Y. This growth was led by increased gross margins, lower finance cost and also higher scale in this quarter.

In terms of revenue mix across our co re verticals, payment solutions continued to be the largest vertical , which contributed 53% of the revenue , followed by communica tion and fulfillment solutions at 36.4% and Io T solutions at 10.3 % in Q3 FY26. This shows that Io T is now a material vertical contributing to growth and diversification.

The top 10 customers contributed almost 63.5% of our revenues and more than 97.45% of our reve

nues came from existing customers, showcasing the stickiness of client relationships and strong renewal and repeat business characteristics of our business model.

For 9 months FY26, our total revenue stood at approximately INR1,037 crores, a decline of 5.3% Y -o-Y. EBITDA came in at INR 269.6 crores with an EBITDA margin o f 26%, an increase of 140 bps Y -o-Y. Our PAT stood at INR158.57 crores with a PAT margin at 15.3% , up 70 bps Y-o-Y.

On the balance sheet and cash flow front, we remain well capitalized. As of 31st December 2025, we had cash and cash equivalents of approximately INR 387 crores.

With respect to the IPO proceeds, utilization remains in line with the stated objects of the issue. During Q3, funds were primarily deployed towards debt repayment of approximately INR 230 crores. With the INR70 crores repaid in the previous quarter, the total debt repayment amounted to INR 300 crores as per the IPO objects. The capital expendit ure in this quarter stood at INR34.28 crores. The total IPO proceeds utilized were at INR 346 crores with about INR 254 crores remaining to be unutilized, which will be utilized over the subsequent quarters.

To summarize, Q3 FY26 was a quarter of disciplined execution while continuing to invest for growth and technology. Our margins, balance sheet strength and diversified revenue base provide a solid foundation as we move into the next phase of growth. Thank you. Over to the Moderator.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal: Thank you for the opportunity, sir and congratulations on good set of numbers. Sir my first question would be i f we see EBITDA growth has been higher than the revenue growth. Clearly, we see that there is a gross margin expansion that has happened despite the rupee depreciation. So, could you share what is driving this expansion in margins and is it sustainable going into FY27?

Pavan Kumar: Hello, Devesh. Hi, this is Pav an here. I'll take that. So, the improvement in overall gross margins is attributable to factors across all verticals. Primarily, we have benefited from the favorable product mix similar to what we had in the last quarter as well. Operational efficiencies have kicked in as volume and scale has grown in this quarter.

Another part is where on the procurement initiatives, we were able to source from vendors with favorable payment terms and our overall import costs reduced. So, there has been an improvement in paper prices and other core raw materials such as chips, etc etera in this quarter. We also continue to use in -house manufacturing of our inlays in IoT vertical.

These are a bunch of factors which we have seen help us in this quarter to deliver on the gross margins. On the overall outlook, we are confident to maintain on a similar range from 43% to 45% gross margins. However, we are also keeping a close eye on the dollar increase and we would see how things move on from here. I hope that answers the question.

Devesh Agarwal: Sure, sir. So, what percentage of our cost is dollar denominated?
Pavan Kumar: Approximately 37% to 38% is dollar denominated, which is the imports for various raw materials across our verticals.
Devesh Agarwal: And you said one of the reasons for a favorable gross margin is the favorable product mix. So, can you also share the segment -wise gross margins or EBITDA margins for the three segments that we have?
Pavan Kumar: We've not shared those m argins in our earlier DRHP and p rospectus Deves h because we have a lot of materials and infrastructure that we use which are common across all the verticals. So, that level of bifurcation at this stage may be difficult, but that's something that we'll keep an eye on and hope to see ho

w we could start tr acking that and provide that.
Devesh Agarwal: Sure, sir. And so, if we see the revenues for your three se gments, what we see that on a Y -o-Y basis, your payment solution has seen a 7% decline despite overall revenues growing at 10%. So, is this decline largely restricted to the lower volumes or there has been some price moderation as well?

Pragnyat Lalwani: Yes Devesh. Hi, Pragnyat here I 'll take that. So, I think, as we said that there has been definitely an impact of volume that has been playing around in terms of the business. So, there's a mix. I would say the larger contributor would be the reduction in volume. There has been maybe marginal price corrections as well from a few customers. So, it's a mix between, I would say, volume and some amount of price correction as well.
Devesh Agarwal: Right. And sir is the share of metal in the overall payment solution revenues kind of increasing or it's still not yet picked up?
Pragnyat Lalwani: So, it's a good question. In fact, what we see here is that in this coming quarter, we have seen a very good order book for the metal cards. And in fact, we are expecting probably the order pipeline for metal cards to build up very well. So, I think going forward, though it is a little delayed compared to our expectations, but going forward we feel metal to be an important driver for business and also for profitability.
We are seeing metal card projects coming up from various customers. In fact, you'll be glad to know that right now there are three government banks with whom we are discussing good amount of metal cards, which was like something unheard of quite some time before. And at least half a dozen projects that we are working on with customers on metal cards, which are at various stages of sampling and go live.
So, we feel metal from Q4 onwards and going to the next financial year would be an important contributor to the revenue. And seeing that demand expectation plus also, as we said, we are working on a couple of large metal opportunities, one being the domest ic RFP, the other being this global Fintech th at we've been shortlisted with.
Also another global player that we're working with. There are some domestic Fintechs also. So, expecting this itself, we have begun our expansion and investment to probably explore possibilities of also increasing our metal card capacity so that we are ready by the time this opportunity really starts playing up.
Moderator: Thank you so much. Our next que stion comes from the line of Jay Patwa from Vani Financial. Please go ahead.
Jay Patwa: Yes. Congratulations for a good set of numbers. My query is on payment solution s rather than the traditional BFSI, where we are focusing on other segments like metro cards or other payment variables, whereas like in these theme parks and all. So, can you give some color on that?
Pragnyat Lalwani: Yes. So, see, essentially just to tell you, there are two types of payment instruments that are there. One are cl osed-loop and one is open -loop. So, typically, in many of these payment theme parks, etc etera maybe if you see even in Disney World, where you have a band or you have a card which is given to you which is a closed -loop card, which is predominantly not regulated by Visa, Master or Ru Pay or these global schemes.
So basically, it's probably a card for collection of money . But it doesn't happen to be a payment card in the actual scheme of things. Now, what we are focusing on is two types of opportunities. One is essentially the transit card which are used essentially by system integrators, by metro

operators and also by banks. So here we have three set of customers. One is we have large banks which take up the project of automatic fare collection of metros, bus statio

ns, etc etera . Like for
example you would have seen State Bank of India has a project for Mumbai metro right? And we are one of the service providers to them. Similarly, they do it for Chennai metro. So we are a service provider to them. We also do it with them for multiple metros in Kanpur, Lucknow, Nagpur, etc etera .

Apart from that, you have certain Fin -Tech players who are also taking up projects. So for example, Delhi metro has been taken over by one of the small payment banks. So we are basically working with them as well. So on the metro side, there are also certain government programs that we work with which are again linked to transit, which come in where the free transportation to beneficiaries is treated as a DBT initiative. So there again, we work with the system integrator in one of the states in North India. We will be starting a program in January for Maharashtra state with the system integrator for the road transport corporation. So, you are very right. Apart from the banks, we continue to look at opportunities where we work with system integrators. We work with Fin -Techs. We also do cards similar to the Sodexo meal vouchers where those cards are also given for people which can also be used in transportation etcetera . So on the amusement theme parks etc etera that probably will be a business opportunity which we are exploring which comes into our IoT solutions vertical because it's not regulated a s such. So, we tend to put it into our IoT vertical. In fact , we do some cards in the closed loop business as well. For example , before the Mumbai metro went from closed loop to open loop, we were supplying them the cards etc etera . So we try to focus on where the opportunities come. Also, on the non -variable form factors we recently closed a program with one of the large global schemes where we closed an order for stickers where the global payment scheme in India is promoting stickers as an add -on payment factor to be used in transit for their banking customers as an add -on to the debit card. So, we just recently closed that order. I think it was in this quarter in Q3 and the supplies have happened for that. So that's our overall approach to non -card form factors and transit.

Jay Patwa: Okay great. So, my second question is on the communication and fulfil ment segment. So basically, this segment is also growing sequentially and Y -o-Y. So my question is that in this segment also, there are multiple sub -segments I can see and one of that is like issuing of these health cards to the insurance company? But I think after COVID the majority of the companies have stopped issuing these health cards. So actually , which segment or sub -segment in this communication and fulfilment is growing in your segment?

Pragnyat Lalwani: So just to give a flavour of what construct our communication and fulfilment business is made up of right ? We basically have three different products in the communication and fulfilment solution business. One is essentially we have data -driven communication going out to customers which is either business -driven or statutory -driven.

Second is we offer an end -to-end logistics management platform to customers where customers for whom either we produce a deliverable or even if there are some other agencies producing deliverables . We offer the aggregation and the whole platform with integration of the customer's mobile app and the entire notification etcetera .

And the third is we have an inventory and order management system platform where we take up the orders for large corporates. So 35,000 bank branches across large banks are serviced with almost 4,000 SKUs from this platform across banks. So what we have found now is that there is a greater degree of consolidation happening because of GST compliances, etc etera .
There's a greater compliance coming in

from how cyber security processes are taken care of,
how data is being managed by service providers. So our growth in this probably is coming from large enterprises consolidating vendors because their volumes are getting rationalised, giving more importance to process adherence and compliance. And that's where we see the demand coming in for the compliance business. Probably the health card you're right a lot of these things have gone digital. But we continue to do in this business the identity card solutions where we are doing the large citizen ID card project and the tax ID card project both for the government which comes into this vertical.

But these are the factors which are driving the growth in the business. And our logistics management is known as integrated logistic s management which is part of our communication and fulfillment solution vertical where we have found in the recent past a lot of traction coming in here. And we've really got four wins in fact of ILMS customers in last nine months and some of them are very substantial. So together with wins for data driven communication within the ILMS and IOMS these are the three contributors to growth in the communication and fulfillment business.

Jay Patwa: Okay. And my last question is on the IoT vertical. So can you give a flavour like there might be so many competitors in this vertical unlike your payment solution there are almost duopoly. So

where as a company we stand , we are definitely growing at a small base. But what is our moat that we can grow at a similar pace in future also?
Pragnyat Lalwani: It's very important to understand the offering of the IoT business especially right now, the couple of projects or I would say almost half a dozen projects that we're working on . See the IoT business, especially for us is across multiple sectors right? We work in retail, we work in renewables, we work for logistics customers and also we work for manufacturing and others .
In the retail business what we have seen is that offering is essentially very critical to the supply chain of the brand. So here we have three or four critical enablers right? One is we have a platform which workflow is aligned as per the workflow of the enterprise. There is a tight or a loose integration into the backend systems, where the data flows depending on how the product lifecycle management functions for the brand in terms of how the ordering takes place.
We are integrated very closely between the brand owners and the manufacturers. There is a rule engine and a complete workflow basis with the tags are dispatched to the factories. It's a very, very dynamic and demanding business where turnaround times are very crucial.
Also , the execution happens from multiple geographies for us. We execute these projects now from Chennai, Bangalore and Delhi. Also, a lot of the tags that are produced are not available off-the-shelf. Quite a lot of them are custom designed by us in our design facility. So we also do chip bonding for those in -lays in -house.

So, what typically if you see, maybe if I will elaborate right? Number one is you need to have your own in -lay design facility. Number two you need to have your own technical platform to be able to handle this. Third is you need to have a scale of volume that you are able to handle. You need to have multi -locational infrastructure and more importantly the credentials to be able to manage this data in a very, very secure manner .
And this is essentially how we feel these are the moats which have been done. Apart from this we want going forward to be a full -stack solution provided to the customer, we will offer the tag solutioning, which is important for the source tagging. Then you will offer the middleware software which is required to integrate the WMS and the ERP. And third is the hardware which is required

for this whole process.
So, to our mind as you would agree there is no competition, right? But from our perspective with all these attributes which are important . And which are built by us as probably differentiators for our business offering . They would probably offer at least some degree of moat or a good degree of moat to our business in the IoT offering.
Moderator: Your next question comes from the line of Ni dhesh from Inves tec.
Nidhesh: So on IoT business I have a question that how are the trends in pricing per tag, etc etera in that business?
Pragnyat Lalwani: Yeah that's a good question, Ni dhesh. Yeah, so essentially in the IoT business the tag cost is probably decided by two things. One is what is the form factor and second is obviously the cost of the semiconductor and the cost of the inlay . So what we've seen is essentially, from the year we started three years ago to where we are today . Probably now we have one of the sizable volume consumer in this market and with that volume buying comes price advantage , right? And obviously the volume advantage , price advantage that we get , we also treat it as a tool in our hand to ensure that we do very sharp pricing to the customer that essentially people with lower volumes etc etera are not able to compete or are not viable. So I would say over the years we've seen probably volumes go up the input cost could get more competitive. And as a strategy we want, especially in critical accounts to pass on some benefit of that to the customer because that becomes a competitive edge for us.
So we have not seen major price rationalization probably in the last couple of quarters but definitely going forward as volumes will build up we could see some small delta coming into the price.
Nidhesh: Sure. And then how do you think about the total market size in IoT and let's say, we are growing at 100% right now how should we think growth over let's say next three years perspective? How is the market growing, what is the market size and how do you see your growth?
Pragnyat Lalwani: So, if you see the IoT business , the important part is right now for us I would say whatever revenue is coming in is majorly coming in only from one of our revenue drivers. Okay I would call there are three revenue driving engines for Ses haasai or maybe four revenue driving engines for Seshaasai in IoT. Right now we are only t apped one which is the RFID tag part of the business.

Now I'll just finish on that one. On the RFID tag side of the business especially with the new win that we are having . We hope to continue this run rate at least in the next financial year, on a standalone basis only for that one vertical.
Apart from that, if you see, we did one more round of investment in this quarter, into Alomind Labs, where the products have become very, very mature. So, we are also beginning to work on projects now, which are sizab le volumes on data logging for shipment movement, cold chain monitoring, etc. So, that also will be contributing to our rev enue.
The third piece on the RFID is essentially, you know, the hardware side of the business, which will play in along with the software stack. And the last piece, is the eSIM and the SIM business. So, just to share with you that in Q3, we began our SIM supplies to the telecom providers. And we are at final stage of our GSMA SAS certification on our site. We finished the audit, we got very positive feedback from the auditors. So, I think we should be, we were hoping to get it before this call. But it'll be probably coming in the next week or two. So, with this certification behind us, the eSIM business also is poised to grow well. It'll take time for it to contribute to the revenue. But definitely in the next financial, it will start contributing to the revenue.
So, you know, we feel on the Io T business,

we remain very bullish. And we feel that this rate of growth that we've seen in the past year, we should be able to, next two months also, we see a strong pipeline. We should end this year with very good growth on IoT and continuous growth in the coming years.
Nitesh: Sure. That's it for my time. Thank you.
Moderator: Your next question comes from the line of Chintan Shah from JM Financial Family Office. Please go ahead.
Chintan Shah: Hi, thank you for the opportunity. So, a couple of questions. So, one is on the payment solution side. I mean, if you give a better flavor in terms of outlook for this segment, especially from a next two year perspective, and if we can spread it probably in t erms of volumes and realization? So, what I'm trying to get a sense here is basically in terms of our contract negotiations, which only happen annually or once in three years, is the realization decline largely behind us and that should be stable going forward or could we see some more pr essure? That's the first question.
Pragnyat Lalwani: See, basically, the tender that we have typically are for a two plus one or three year contract as the case may be. So, whenever we have tenders that we've just closed now, they probably be lasting for three years or two years, extendable one more year for the bank at their discretion. So, there we have no concern about the price. The prices are stable at which the tenders are closed. On the other front where we have RFPs, where we have annual pricing contracts with the customers, so I think , with the way the dollar is positioned , and also we're getting inkling of a little bit of tightness on the supplies on the semiconductor side. So, typically, we will also be talking to customers to ensure that we are able to plan very well to ensure that there's no disruption of supply for the customers.
So, probably, there would be depending on how these two factors play out, there will be some impact of that. But overall, we've not seen any drastic price reduction across the board on an

overall weighted average basis. There has been a correction for sure, but it's not been very significant.
We'll have to wait and watch in the quarter that plays out essentially where the dollar ends and also how the semiconductor situation is placed. We should probably decide the pricing for the next financial. Because one thing I would like to state here that for customers today, especially the large banks who deal with us, probably there are four or five factors which are very important for their relationship with any service provider.
Definitely, service quality is one factor which is very important. Price is an important factor. But also factors which are taking precedence now is how are you compliant to various compliances? How secure is the process from a cyber security perspective? Are you a multi -locational player for that customer? Are you able to offer the entire portfolio right from metal card to wearables to PVC cards?
So, to my mind, probably it's a mixed situation here where various attributes of the customer expect from a service provider versus the competitive pricing that he expects from us. So, in that regard, I think customers today see this service offering as a very critical offering for their whole operations. So, we see a little bit of price inelasticity there, if I may say.
But let us see how it plays out in the next quarter. We don't see any significant price reduction from where we close our contracts as of now.
Chintan Shah: Got it, understood. So, just one follow -up. For the nine months FY ’26, if I just understand, the

large part of the decline, I see that is largely volume -driven. Is that a fair understanding?
Pragnyat Lalwani: Probably. I'll give you one more aspect just to understand how the payment solution business works. See, in the payment solution busine

ss, especially on the cards, our revenue is a mix of three or four factors. One is the base card. Second is the personalization. Third is the kitting that we do to the customers. And, fourth is the service offering that we add to the customer in terms of logistics, etc. So, revenue is a cumulative outcome of various factors playing out across various contracts. But definitely, it goes without saying that if there is a reduction in the revenue, volume is one of the contributors there.
Between Q1, Q2, and Q3, we actually had Q1 revenue at maybe INR149 crores for payment solutions. It has gone to INR179 crores, and now it's at INR198 crores. And I feel this graph will continue to be upwards in Q4 as well.
Chintan Shah: Got it, understood. One last question that is on the IoT segment. So, there's one new large retail giant that we have. So, if you can give some more color, basically, what could be the potential from this client? Probably not from a near -term perspective, but say over two, three years. If you can give some indication in terms of what could be the potential size here?
Pragnyat Lalwani: So, I think we're just waiting for the allocation from the customer in terms of the volume, which it can come to. But to our mind, it will be our largest account once it comes into our kitty. Maybe once we have more clarity from the customer, we can update you on this offline, or maybe by

the next earnings call, we'll have more clarity. We can give that to you. But it will be definitely a very sizable value contract for us.
Chintan Shah: Got it, understood. Thank you so much. That's all from my side.
Moderator: The next question comes from the line of Vedanta Agarwal from IIFL Capital. Please go ahead.
Vedanta Agarwal: Hi, sir. Thank you for the opportunity. So, I wanted to follow up on the IoT business as well. The revenue has been flat more or less from Q1 FY'26. So, if you could just give us some highlights as to what can be a growth driver going forward , from a short -term and from a long - term perspective, and what numbers can you expect going forward?
Pragnyat Lalwani: So, from the IoT side, typically, if you see on a Y -o-Y basis, we're almost 100%. If you see Q3 of FY'25, we were around INR19.9 crores. We're at INR38 crores now. So, if you look at the Y-o-Y basis, we've actually grown 100% there , but you're right. We would have liked to grow much better in this quarter compared to the previous quarter.
But one of the predominant reasons for this was the project rollout for our large customers was delayed. So, that's going to be happening probably in the next couple of weeks. And what we feel is that whatever loss of revenue that we've had or opportunit y that we've had in the last quarter , should be compensated because end of the financial year is what we're working on. And we expect Q4 for the IoT business to be also costing a major portion of our IoT business comes from retail. And retail is a little bit seasonal in the sense that they have cycles on which they start manifesting the garments depending on their winter cy cles and summer cycles. So, there's a factor which plays out there as well.
But having said that, we expect the following two months to have a good amount of volume coming in from existing and the new content we're talking about. Apart from this, we're also working on with some global partners where we've got a confirmation from c ustomers in Middle East where we've been supplying them tags for their garmen ts to be manufactured in India. We're also talking to some partners who are nominated agencies for global brands for their fulfillment for them for the tags in India. So, I already explained a little bit of IoT details in the previous question. Maybe that addresses a bit of your query. But in the immediate future, we expect good volumes to be coming in the next two

months.
Vedanta Agarwal: Okay, sir. Thank you so much for the answer.
Moderator: Our next question comes from the line of Rohit Priyadarshi from Mittal Analytics.
Rohit Priyadarshi: Thank you for the opportunity, sir. And congratulations on a good set of numbers. So, I'm quite new to the company. So, I would like to ask a few basic questions. Like on the payment solutions, on the banking front, we have 10 out of 12 PSU banks as our customers. So, I just wanted to understand like we are doing credit card, debit card, and cheque book printings for these banks. Is my understanding correct?
Pragnyat Lalwani: Yes, go ahead.

Rohit Priyadarshi: And sir, on the insurance front...
Pragnyat Lalwani: I'm sorry. I'll just clarify here. See, our offerings to public sector banks are about three or four major offerings. One is we offer cheque books to banks, we offer debit and credit card to banks, we also offer welcome kit to banks where we combine the card and the cheque book and send the w elcome kit to the end customer.
We also have an inventory order management platform where we offer station collateral fulfillment to the banks. And we also offer QR code, merchant QR code to banks for their payments, etc etera . And we have a logistic s management also that we offer to the banks.
For some banks, we also do the statement printing. So, when we say 10 out of 12, which means that these banks are availing at least one of these service offerings that we have. It's not that 10 of the 12 are only cheque books and cards. It could be a mix or match of these services.
Rohit Priyadarshi: Understood, sir. And sir, on the insurance front, what exactly are we providing the services in this insurance?
Pragnyat Lalwani: Yes. So, I mean, see, we've been in the insurance business offering services for customers for the last 20, 22 years now. So, this whole product offering and our relevance and size of the business has seen, I would say, it's come a complete cycle now. So, today for the life insurance customers, we offer policy printing for the customers, we offer non -policy communication like renewals, reminders, notices, etc. And also, we do a little bit the same for the general insurance companies. For some, we also offer the logistics services. So, this business, obviously, over the years due to digitization has got rationalized. We also offer digital communication to the customers where we send out email statements, some WhatsApp updates, SMS notification, etc.
So, depending on the customer's ne ed today for us as a service provider, we offer services within from this bouquet for the customer's needs.
But we still have retained relationship with those customers over the last two decades because these are customers sitting on very large customer base. And any compliance communication that needs to go out has to go out in a physical form. So, we have supports coming, now and then for that compliance communication which needs to go out.
Rohit Priyadarshi: Understood, sir. And, sir, when we say we also provide services to the government in the form of tax ID, so are we saying that we do printing of that PAN card or something?
Pragnyat Lalwani: Yes. Exactly.
Rohit Priyadarshi: Okay. Got it. And, sir, last question would be out of our payment solution , communication segment and IoT segment, which segment would be the more margin lucrative for us?
Pragnyat Lalwani: I would say the payment solutions and the IoT solutions are almost similarly placed on margin.
Rohit Priyadarshi: Okay. Sure. Thank you so much, sir. That is all from my side . Thank you, sir.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Pragnyat Lalwani: It's been a pleasu

re interacting with all of you today. We appreciate your continued trust and support.
Pavan Kumar: Thank you, everyone, for joining us today. It was lovely interacting with all of you. Thank you.
Moderator: Thank you. On behalf of Sesh aasai Technologies, that concludes this conference. Thank you for joining us.
Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2026

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May 26 , 2026

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Sub: Transcript of the Q 4 FY26 Earnings Conference Call .

Dear Sirs,

Further to our letters dated May 13 , 2026 and May 19 , 2026, we enclose herewith a copy of the transcript of the Q 4 FY26 Earnings Conference Call held on May 19 , 2026.

The same is also being made available on the Company’s website at:

https://seshaasai.com/media- news/wp -content/uploads/2026/05/Q4FY26 -Earnings -Call-Transcript -May19 -2026.pdf

This is for your information and records.

Thanking you,
Yours Sincerely,

For Seshaasai Technologies Limited
(formerly known as Seshaasai Business Forms Limited)

Manali Siddharth Shah
Company Secretary and Compliance Officer

Encl: as above

“Seshaasai Technologies Limited
Q4 FY '26 Earnings Conference Call ”
May 19, 202 6

MANAGEMENT : MR. PRAGNYAT LALWANI – CHAIRMAN AND MANAGING DIRECTOR – SESHAASAI TECHNOLOGIES LIMITED
MR. GAUTAM JAIN – WHOLE -TIME DIRECTOR – SESHAASAI TECHNOLOGIES LIMITED
MR. PAVAN KUMAR – CHIEF FINANCIAL OFFICER –

MODERATOR : MS. ASHA GUPTA – EY LLP , INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Seshaasai Technologies Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note this conference is being recorded. I now hand the conference call over to Ms. Asha Gupta from EY LLP , Investor Relations. Thank you and over to you.

Asha Gupta: Thank you, Steeve . Welcome , everyone , and thanks for joining the Seshaasai Technologies Limited Q4 FY '26 Earnings Call. The results and presentation have already been mailed to you , and you can also view them on our website at www.seshaasai.com . In case anyone does not have the copy of investor presentation or press release, please do write to us , and we will be happy to share them with you.

To take us through the results today, we have the management of the company represented by Mr. Pragnyat Lalwani, Chairman and Managing Director; Mr. Gautam Jain, Whole -time Director; and Mr. Pavan Kumar, Chief Financial Officer. Mr. Pragnyat will start the call with a brief overview of the company and business update, which will be then followed by Pavan , who will take us through the financial performance for the quarter and full year, and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned in this call, which reflects any outlook for the future or which can be construed as forward -looking statement s, must be viewed in conjunction with the risk s and uncertainties that we face. These risk s and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and the subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Mr. Pragnyat. Over to you, sir.

Pragnyat Lalwani: Thanks, Asha. Good evening , everyone , and thank you for joining us today for the Q4 and full year FY '26 earnings call. I hope all of you have had the opportunity to review our financial results and presentation. So let me quickly discuss the business highlights for the quarter and Financial Year '26, post that Pavan will take you through the financial update.

During the quarter, we reported revenue from operations of INR 404 crore, reflecting a growth of 8.1% sequentially and 9.6% on a Y -o-Y basis. The growth was supported by stronger execution across business verticals, improved throughput, and better contribution from diversified businesses , including communication and fulfilment solutions and IoT segments.

Moving to the full year FY '26 performance, we reported revenue from operations of INR 1,441.1 crore s, a drop of 1.5% on Y -o-Y basis. The decline during the year was primarily led by temporary moderation in the Payment Solutions business due to industry -wide factors. However, this was largely offset by the strong growth in our communication and fulfilment solutions business and continued scaling of IoT solutions business and technology -led offerings , enabling us to maintain overall stable performance with healthy margins.

This reflects the increasing resilience of our business model, improved diversification across revenue streams, and a lower dependence on any single vertical.

FY '26 was a landmark year for Seshaasai as the company completed its listing during the year, marking an important milestone in our journey. FY '26 has been a year of transformation and transition for Seshaasai Technologies, where we have made deliberate efforts to diversify the business, strengthen our technology -led capab

ilities, and build future -ready platforms across our key verticals. During t he year, we continued to invest in innovation, automation, premiumization, and new growth platforms, while als o strengthening our focus on recurring and technology -driven businesses. This reflects our broader transition towards becoming a solutions - oriented and platform -led organization.

Over the course of the year, we have continued to build on our strong and long -standing customer relationships across banking, BFSI, government, enterprise, retail, logistics, telecom, and

technology ecosystems. This deep customer engagement has enabled us to sustain recurring revenues, increase wallet share, cross -sell integrated solutions, and expand into adjacent offerings.
We believe FY '26 should be viewed not only as a year of resilience during a softer industry phase but also as a validation of our diversified and relationship -led business model. At Seshaasai, we do not evaluate our success purely based on revenue for a particular year. We continue to invest in innovation, new products, and technology capabilities tha t are aligned with evolving customer needs.
Many of the initiatives we are building today may not contribute materially in the short -term but are strategically important in creating future growth opportunities. Across our verticals, we are developing capabilities in advanced payment solutions, IoT -led ecosystems including RFID and traceability, and platform -led communication and fulfilment solutions. These investments are designed to position us strongly for long -term scaling.
A key strength of our business continues to be the high proportion of recurring and annuity -like revenue streams. Across our verticals, around 97% to 98% of our revenue is recurring in nature, driven by ongoing card issuance programs, regulatory and compli ance-driven communication requirements, fulfilment engagements, and repeat ordering cycles in RFID and IoT solutions. This provides stability and visibility to our earnings while also allowing us to benefit from new customer additions and project -based opportunities that offer additional growth.
As we look ahead to FY '27, we remain cautiously optimistic while being mindful of global macroeconomic and geopolitical uncertainties, including supply chain disruptions, currency volatility, and broader demand conditions. However, we believe our diversified business model, strong customer relationships, recurring revenue base, and continued investments in future -ready technologies position us well to navigate such challenging environments.
We would like to update that our Navi Mumbai and Kundli facilities have become operational in Q4 of FY '26, while the Nagpur and Bengaluru facilities are still under construction. We would also like to inform that we have filed for six new patents in FY '26 across products and

solutions, taking the total tally to 19 patent applications filed, out of which 5 have been granted to date.
In terms of business segment update :
1. Payment Solutions –
Payment solutions contribute approximately 50% to the total revenue in FY '26. This segment was impacted by broader industry factors, including moderation in issuance volume s from PSU and Private banks, lower renewal card volumes due to lower base year issuance during the COVID -19 period, as well as timing differences in renewal cycles and tighter regulatory and compliance environments for banks and fintechs. However, we have not lost a single customer and added 21 new customers across banks and fintechs, contributing meaningfully to revenue as we continue to strengthen our customer base and market reach initiatives. We continue to see strong trends in premiumi zation, increasing opportunities in transit ecosystems, and a strengthening pipeline in advanced card products such as metal cards, biometric cards, and

other
secure chip form factors.
We believe that as banking cycles normalize, we expect gradual improvement in volumes going forward. We were the first Indian card manufacturer to file for our metal card patents in October 2021, as well as the first to receive global payment scheme approvals for our metal cards in March 2023. We would like to share that we have been granted our patent for metal cards in February 2026.
This reflects our continued focus on product innovation, engineering, enhancing our R&D capabilities, and intellectual property creation across the secure payment portfolio. This has led us to have a formidable portfolio of metal card variants, each targeting different customer segments.
In this quarter, we won a multi -year tender from a leading PSU bank , which represents approximately INR 8.7 crores in revenue over the tender period. We would like to update that the domestic payment scheme RFP and global fintech RFP for metal card variants are still under process and evaluation.
2. Communication and Fulfilment Solutions –
Communication and fulfilment solutions contributed 39% of total revenue in FY '26 and recorded a strong Y -o-Y growth of 29%. Over the years, this segment has evolved into a technology -driven integrated solutions platform, combining secure communication, fulfilment digital workflow orchestration, traceability, and logistics integration capabilities.
Backed by our proprietary platforms like RUBIC , eTaTrak , and IOMS , as well as pan -India

execution infrastructure, the business is increasingly positioned as a strategic partner for customers , managing large -scale, secure, and time -sensitive communication and fulfilment requirements.

The segment continues to benefit from strong customer relationships, operational scalability, and recurring business opportunities, making it an important contributor to the company's growth, profitability, and cash flow profile.

3. IoT Solutions -

IoT solutions contributed 11% of total revenue in FY '26 and witnessed a growth of 45% on Y -o-Y basis. IoT is gaining traction as a long -term growth engine driven by increasing ad option of RFID, growing importance of traceability across supply chains, and rising demand for sensor -based and platform -led ecosystems. We believe our integrated capabilities and strong positioning in this space will enable us to capture these opportunities eff ectively over time.

Continuing from our earlier quarterly initiatives, we saw momentum build up in the project rolled out for one of the largest Indian retailer s across their major fashion brands. Using our integrated approach with technologies such as RFID, Bluetooth, and other sensor -based analytics, we are seeing good traction in projects being undertaken currently to solve real -world problems across a spectrum of industries such as retail, renewable, healthcare, power generation, and also global capability centers (GCCs).

During this quarter, our Bengaluru facility received the GSMA SAS -UP certification for SIM and eSIM manufacturing and personalization, data generation, PKI certificate handling, making the company one of the few global players with these integrated capabilities for eSIMs. I am also happy to share that the SIM card division started contributing materially to revenue in this quarter.

Going forward, growth will be driven by premiumization trends in payments, expansion in IoT and traceability solutions, platform -led fulfilment ecosystems, increasing opportunities in transit and secure identity solutions, as well as scaling of newer technologies and international opportunities.

The Board of Directors has recommended a dividend of INR 2.5 per share, reaffirming our commitment to shareholders.

With that, I will now request Pavan to take you through the financial and operational highlights for the quarter. Over to you,

Pavan .

Pavan Kumar: Thank you, Pragnyat sir. Good evening , everyone , and thank you for joining our Q4 and FY '26 earnings call. Let me start with a quick summary of our performance for the quarter and then the full year gone by.

In Q4 FY '26, our total revenue stood at approximately INR 405 crores, up 8.1% quarter -on-quarter and 9.6% year -on-year. This growth was primarily driven by stronger execution across verticals , with strong traction in communication fulfilment , and IoT solutions. EBITDA for the quarter came in at approximately INR 125 crores , with an EBITDA margin of 30.8%, an increase of 330 bps Y -o-Y. EBITDA margin expansion was supported by stronger operating leverage, improved business mix, better cost absorption, procurement efficiencies, and structurally improved margins across operating segments. Our PAT for the quarter stood at approximately

INR 82 crores , with the PAT margin at 20.2%, up 316 bps Y -o-Y. The profitability improvement was also aided by lower finance costs following debt repayment post the IPO, which resulted in improved earnings conversion and stronger bottom -line performance.

In terms of revenue mix across our verticals, payment solutions continue to be the largest vertical which contributed 47.5 % of the revenue, followed by communication and fulfilment at approximately 39.8% and IoT solutions at 12.4% in Q4 FY '26.

For the full year FY '26, our total revenue stood at INR 1,441 crores, a slight decline of 1.5% year-on-year. EBITDA came at INR 394 crores with an EBITDA margin of 27.4%, an increase of 204 bps Y -o-Y. Our PAT stood at INR 240 crores with a PAT margin of 16.7%, which is 146 bps Y -o-Y. The overall revenue performance should be considered in the context of a relatively soft demand environment during parts of the year, particularly within the payment card issuance and renewal ecosystem, including moderation in BFSI volume. Despite broadly stable performance on the top line, consolidated profitability improved significantly in FY '26.

The top 10 customers contributed almost 62.8% of our revenue , and more than 96.6% of our revenues came from existing customers, showcasing the stickiness of customer relationship s, strong renewal and repeat business characteristics of our business model.

On the balance sheet and cash flow front, we remained well capitalized. As of 31st March 2026, we had cash and cash equivalent s of approximately INR 398 crores, including unutilized IPO funds of approximately INR 195 crores.

With respect to the IPO proceeds, utilization remains in line with t he stated objects of the issue. During Q4, funds were utilized towards capital expenditure, GCP, and issue expenses amounting to approximately INR 60 crores. Of the total IPO and pre -IPO funds of almost INR 600 crores, we have utilized INR 405 crores as at the end of FY '26 and the balance INR 195 crores is planned to be utilized in subsequent periods.

To summarize, Q4 FY '26 was a quarter of disciplined execution while continuing to invest in growth and technology. Our margins, balance sheet strength, and diversified revenue base provide a solid foundation as we move to the next phase of growth.

Thank you once again for joining us.

With this, I hand it back to the moderator to open the floor for the Q&A session.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal: Good evening , sir, and thank you for the opportunity . Many congratulations on the good performance. My first question is on margin. If we see in the quarter, we have seen gross margins kind of going up by 150 basis points. I thought because a lot of our costs are import dependent, the rupee depreciation would have a negative carry , but that hasn't playe

d out in the fourth quarter. Is that something that we need to worry about getting into Q1?

Pavan Kumar: Hi, Devesh, this is Pavan here. I'll take that question. So yes, our gross margins have improved in Q4 and that's been a consistent trend over the last few quarters. Overall, just to give you a summary of how the margins have improved, if I could give you an example, say , in our top 50% raw material categories that we consume, we've implemented multiple management initiatives , including procurement consolidation, advanced inventory planning, which are aligned to global trade cycle s, and vendor payment being made more efficient.

These kind s of sourcing optimization initiatives have caused about 7% to 8% savings at the material consumed level for the full year. So that's the benefit that we've got through the year and in Q4.

Now , specifically for Q4, we see that there's been a n impact of adverse foreign exchange movement, while for the material s that we consume in Q4, a large part of that is also procured in early Q4 and towards end of Q3.

Through Q4, one of the benefit s that we've seen is that along with the higher sales , which has come in v/s Q3, there's obviously an operating leverage which comes in. So that's basically what has played out , Devesh , in Q4 specifically.

Overall, as we move a head , while that is on the gross margin side, to take it a step further, while the improvement in gross margins ha s translated into EBITDA and helped us increase the EBITDA margins as well as the PAT margin, it's actually a function of two, three things. One, as I've explained to you, it's driven by the gross margin improvement itself . The second part is overall reduction in the finance cost in H2 of the year , which has helped us reduce the cost there. And third part is the interest income that we have earned in H2 post IPO funds. I think broadly these four to five factors have helped us increase the overall margins.

Devesh Agarwal: Understood sir. If we see the balance sheet, we see that the working capital intensity of the business has been going up for the last two years. If we look at net working capital days, that has been constantly going up. So , is the working capital intensity increasing , or is it something that's going to reverse in FY '27?

Pavan Kumar: I'll take that , Devesh . While the working capital intensity has, shows as if it has increased maybe over FY '26 and FY '25, we should see it in two ways. One, at the end of the year , when you look at the balance sheet as of 31st of March, the working capital is a function of what all is on the current asset side and on the liability side. So, we've built up our inventories to be able to better navigate through these global challenges in Q1 as well as Q4 of the year. And then the second part is post IPO, we have a good amount of funds which are showing under cash and cash equivalent s. So that may probably give a bit of a lopsided picture as the working capital cycles have increased . But more or less, I would say, the key factors there being inventory positions and trade receivables are more or less in line with the business and that's something that we are continuously monitoring and working to improve upon as well.

Devesh Agarwal: Understood sir. One final question on our IoT business. If you can share some details in terms of new client wins and the traction that we are expecting to build up in FY '27 fr om some of our existing clients?

Pragnyat Lalwani: Yes, Devesh, thanks. I'll take that question. See e ssentially what we have seen in Q4 is that some of the large projects on which we've been working for a while, they've started gaining some momentum and they show good promise for the coming year.
So, in the larger retailers , customers that we'r

e working on, the approach is now to also go across from apparel into other categories, which is to get into, you know, cosmetics, accessories, etc ., which are also large volume items , which needs to be brought under the digital transformation ambit.
We're also working on projects wherein we are going to have localization of our inlay manufacturing. Now , especially more so with the thrust from the government side also to reduce import dependence . We're also trying to ensure and see how is it that our local chip bonding manufacturing infrastructure can be utilized to ensure that we add more value to our customers , as well as it will help us probably add value to our own bottom line by doing more inlay manufacturing within the country.
We're also trying to work on Tier 2 retailers. So, what we are now seeing is , since Tier 1 customers have had very good success and the ROI has been demonstrated quite clearly in their RFID initiatives . We are seeing a lot of traction coming in from Tier 2 retailers who would also like to probably start this journey. So that is where we are focusing on some good size Tier 2 retailers on the RFID side.
Also , we've harmonized our technologies between Bluetooth, GPS, and RFID and come up with some unique solutions where we are helping improve the resource visibility and efficiency in warehousing and logistics sectors. So, these are the 4 areas which we feel on the RFID side.
On the SIM side, as we have said , we've already begun revenue, in Q4 of last year. We now feel that the foundation has been set over the last one and one half year in terms of the infrastructure, the certification, and the product stability. We feel the SIM and eSIM business will also be adding to the traction in the IoT business. So , all in all to our mind this vertical looks to really contribute meaningfully to our growth and overall revenue mix.
Devesh Agarwal: Right sir. That's helpful. Thank you so much and all the very best.
Moderator: The next question comes from the line of Raghav Maheshwari with Kamayakya Wealth Management . Please go ahead.
Raghav Maheshwari: Yes. Hi. Thanks for the opportunity, sir. So , sir, I had a bunch of questions. First of all, sir, can you elaborate a bit on eSIM manufacturing, like you have mentioned SIM manufacturing. So , what happens when we talk about eSIM manufacturing?
Pragnyat Lalwani: Essentially, how it works is that, when these eSIMs typically are components which go into the circuitry of a device or an equipment or a vehicle, right? So typically , these eSIMs come in form factors which are unlike our regular SIM card s and these eSIMs have to be then made ready for use in the field, where , for example, they could be converted and connected to any mobile network operators in any geography all over the world.

So eSIM infrastructure require s that you are aligned in such a manner that what you produce is globally interoperable in the GSMA universe, right? So , we basically are managing the personalization and putting the embedded top -up layer, which is the profile required as per the device usage on the eSIM.
So, and then also if the customer requires us to probably change the form factor and embed it probably into a form factor which they would want it to be a plug and play into their environment. So , this is what is actually the eSIM is. To give a very small example, where eSIM is working today is in electrical meters . You would have people coming in and taking meter reading s every single day, but today the electric meters directly talk to the power distribution company. So , this could actually sit inside the circuitry of a smart meter. There are various use cases of eSIM, but this is just one example of how eSIM operates.
Raghav Maheshwari: Right. And have you gained any customers for this ? Like, where do we stand on the approval

cycle?
Pragnyat Lalwani: So, as I said, we've just finished our GSMA SAS audit. We need to have one more process that we complete by July, August as a part of this process. And once we complete that process, then

we should be starting to commercialize this. But in the SIM side of the business, we're already working with a leading telecom player to supply SIM cards to them.

Raghav Maheshwari: Right, sir. And sir, when we talk about the payment solution segment, we are consistently seeing a decline from FY ’24 to FY ’25, now FY ’26 as well. So , is it because of the new product mix that we are going into , or is it something else?

Pragnyat Lalwani: See, if you look at it from the payment solutions business of ours , typically it has two revenue drivers. The major one is the payment card business . So, payment card business typically is driven by maybe , if I may say , four drivers, right? The first one is essentially the renewal cards which bank s issue to the existing customers . The second one is new cards that are issued when a new account is opened. The t hird one is credit cards being sold by banks in line with their credit card issuance policy. And the fourth is , cards going out for transit programs, for fintechs for specific use cases like forex cards, et c.

Now majority of the volume comes in from the renewal card base which is an income base for banks been built over the last couple of decades . So, a major volume comes in i s from your renewal card base.

Now in the renewal card base, typically post -COVID, which was March 2020 onwards, we had a lull for a year / a year and a half. So typically , what we've seen is that the renewal cycles have been impacted over the last two years, majorly because one is the COVID impact and also banks have been rationalizing their renewal process in terms of whom to issue a card or not.

So, to our mind, this particular number correction which has happened is something which is an outcome of this factor. And now post -COVID , if you see in FY’21 -’22, FY ’22 - 23, there has been a surge in the banking sector in terms of the volumes, etc. So , our understanding is that at least on the renewal side of the business, we expect that the numbers should be better than what they were because of the COVID impact.

Coming to new cards, which are issued by banks on opening of accounts and credit cards. Now here it's a factor of the bank's policy at any point in time in terms of what is their strategy in terms of reaching out and onboarding a new franchise of customers, what is their strategy on risk mitigation in terms of unsecured lending, and how do the y see regulator y increase in the risk assig ned to the unsecured portfolio of credit cards, etc. So here we are responding to the customer's requirement s.

How we also try to maximize this is to go up the value chain by premiumizing and going up the value chain by ensuring that we offer more value -added offerings to customers for the same set of customer base, offer more value -added services such as logistics services to them , offer metal cards to them, et c. And also , we've seen very large traction in the transit program. For example, currently we are working with partners for three state government projects which have got pretty decent volumes of cards being rolled out for the beneficiaries under the state government scheme for free transport to citizens.

We're also working on some projects for metro cards , with more and more metros coming in.

So, all in all, our understanding is that the payment card business, the numbers which have come in, we expect this to trend to probably bottom out and from here on we expect a better momentum to be seen for an upward trajectory.

Raghav Maheshwari: Understood, sir. And sir, with the SIM card division coming live and the approval cycle going on, and the new plants

coming live like you mentioned in the earlier remarks, plus all the new segments that we are exploring, assuming these as the growth levers for FY ’27, would you like to give any formal guidance as to where we see from growing from this low base?

Pragnyat Lalwani: See, I would say definitely, if you look at the momentum in Q4, we've had very good momentum in Q4 , and we see some of the projects that were on the anvil probably moving into fruition in the coming year. However, now considering the geopolitical situation and also the uncertainty, we would like to probably wait until Q1, where we get a better grip of the situation, better visibility, and maybe in a position to give a guidance after Q1. That's our take for now.

Raghav Maheshwari: Understood, sir.

Moderator: Thank you. The next question comes from the line of Pratik Banthia with Fermi325 Investment Advisers. Please go ahead.

Pratik Banthia: Hi. Congratulations on a great set of numbers. Happy to see this strong scale -up in the IoT division as well. So , my question was - regarding over the last 25 years, it seems like every five to seven years, our business tends to make a pivotal shi ft. So , let's say from cheque book to cards to RFID tags to now eSIM & SIM cards. So, I just wanted to get a sense of what is the underlying guiding theme of our capital allocation strategy , and should we expect the same strategy to continue over the next , let's say, 10 years or so , or would there be some tweaking required?

Pragnyat Lalwani: A very good question, Pratik. See, if you look at it from a capital allocation perspective, while we were growing from a part of our payment solutions business to our communication and fulfilment business, and even today from part of our IoT business, rig ht? The capital

infrastructure, the equipment, and the platforms that are needed, especially the tech platforms, are the same .

What typically happens is that every vertical has certain adjacencies and spin -offs, which require focused investments , maybe into technology or maybe into some specific platforms or investments needed for a product. So , I would say, obviously, going forward as we go into more of IoT devices, there'll be deeper investments going into technology.

We will also be having to have resources which will probably focus on technology. So , the theme of the capex investment to my mind would not change drastically, but probably the allocation towards software resources, towards technology contribution of the investment would go up.

And if you would see one thing which is common across the whole theme of the last 25 years , is that we've always gone for businesses which are having recurring revenue, business which need technology, businesses which need to scale, and products which are mandatory or needed for our end customer's functioning.

So, we'll be trying and keep those four or five , probably , mantras in all that we do in every vertical that we go to. We will try and keep those as our guiding posts in our future business expansions and probably as the situation unfolds and the investment demands are there, we will allocate our capital accordingly.

Pratik Banthia: All right. Thank you so much. And could you provide utilization for the RFID capacity during the year, as well as the quarter?

Pragnyat Lalwani: So overall, during the year, our RFID capacity was hovering around 70%. During the quarter, we had some spike volumes, so I think we were probably closer to around 80% - 85% capacity utilization during the last quarter.

Pratik Banthia: Okay. And my last question before I get back in the queue is , can you provide the capacity breakup for SIM as well as eSIM?

Pragnyat Lalwani: SIM is a very nascent business for us right now. So , we are probably just around 30% capacity utilization of what the state d capacity is. eSIM, we are y

et to start commercial production, which we expect to start once certain integration processes are over , and the final leg of our compliance is done. So probably we will expect eSIM revenues to help us from H2 of this year.

Pratik Banthia: Sir, what is the installed capacity for SIM cards?

Pragnyat Lalwani: We've got a capacity of about 7 million SIMs a month.

Pratik Banthia: Okay. And eSIMs, if you could provide?

Pragnyat Lalwani: For eSIMs . See, the eSIM product is not a very standard product like the SIM product, right? The form factor varies on the device. So conceptually, we could easily do about 2 to 2.5 million eSIMs, but the form factor varies , and it could probably be 2 million for one form factor and maybe could end up being 3 million for another form factor. So , we have a range of between 2 to 3 million eSIMs a month.

Pratik Banthia: Okay. Thank you so much.

Moderator: The next question comes from the line of Surya Narayan with Sunidhi Securities & Finance Limited. Please go ahead.

Surya Narayan: So, my question is that in the IoT solutions, what are the new - I mean you said that the improvement in the gross margin is due to the product mix. So compared to last year, if you can detail out what the p roduct mix changes are, number one. And number two is that what are the new sectors, I understood that there are a lot of sectors like the solar sector where the applications are there and apart from th at, many other sectors are lying ahead. So , my understanding is that where we are not present, maybe at the moment, what are the new sectors we are targeting going forward?

Pragnyat Lalwani: Okay, so there are three parts to your question. The first part is you want to have an idea about the product mix, right? So typically , the product mix change is there for each and every vertical, but conceptually the approach towards the product mix is that we try and work with the customer to ensure that we get greater market share of the premiumization of the products that they do, okay? And also , we try and go up the value chain.

For example, if we are not offering a logistics service to a customer, whether he is in the payment solutions business or the communication fulfilment solutions business, we try and ensure that we get the end -to-end piece of the entire chain till customer delivery. So that's as to our product mix. Obviously, metal card is a growth engine for us, which is also going to be contributing to the product mix for better margin s.

On the IoT side of the business, to answer your question as to what are the sectors that we are not working with. See, you rightly said we're already working in renewables. Now there, just apart from only giving the tag, our team has been working with some of the large brands to work on reducing their manpower utilization, we've been offering them some automation solutions on to their lines for the solar panel manufacturing, offered them some things to aid their quality control process, etc., which makes the relationship stickier, gets better value in terms of account revenue, and obviously, the product mix goes up the value cycle.

Now, if you ask me which are the areas which we are not working on today and which show great promise in the future? Just to tell you that grocery and pharmaceuticals are the two themes which are globally picking up pace in the Western world , and typically, as the nature of the way it functions, probably we may lag maybe 12 to 18 months for a rollout in India. But because India is the large pharma outsourcing factory of the world, we are already doing small POCs there.

But grocery is one very, very huge opportunity, which has already gone live with some large brands in Europe and US , and we haven't tapped those opportunities in India yet. So probably , to answer your question, two large opportunitie

s which we have not worked with , but which are going to be very promising in the future are grocery and pharma.

Surya Narayan: In textiles also , sir, the traceability is a factor where there are a lot of opportunities , especially when the EU FTA and the UK FTA will be coming into place. So , are we working towards that in the traceability sector, textile?

Pragnyat Lalwani: There's a concept known as European Union Digital Passport, which requires end -to-end traceability for everything that is going to be imported into the European Union. But there are multiple ways to achieve that. You can achieve that using QR codes, you ca n achieve that using barcodes, and you can also achieve that using RFID. So , we're just kind of talking to large exporters who need these facilities for RFID.

For example, for Walmart, we're already on the Walmart approved vendor list for RFID. So I think the EUDP guidelines may not really mandate RFID, but wherever the opportunity exists for traceability, I think they'll only go for RFID in EUDP will go in only in items which are of high value, which are very critical, especially related to health and safety, so probably it'll be a mixed bag opportunity there between conventional traceability products and RFID.

Surya Narayan: Okay. Sir, in terms of global capability of ours on competitiveness. So just to want to understand because most of the products can be adopted by any of the countries. So globally, how much are we competitive compared to leading players, leading countries, if you can give some ballpark figure to understand so that we can also go global.

Pragnyat Lalwani: Good question. So , I would say, first we need to understand that the RFID frequencies vary for every country , and obviously, we in India have a certain frequency range within which the product s are produced and used.

Now, typically in the RFID ecosystem, what really matters is how much of innovation you are able to do for a specific customer problem -solving or customer use case s, which requires strengths of antenna design, antenna simulation, R&D labs, also requires test bench es to test the performance of this in the environment and also then produce it and scale it and do your own semiconductor chip bonding.

So probably this particular process is a science, right? And we've been working on it for the last 2.5 years, seen some good success in solving some specific customer problems for large retailers, where we've domestically innovated and created very cost -effective solutions to meet their traceability needs.

So, to answer your question, from a global perspective, if an opportunity presents itself, probably we have the know -how, the team, resources, and now the understanding of the technology good enough to be able to compete with the best in the world.

It's just a matter of we first trying to focus on the domestic market, getting our act together, getting a few good case studies under our belt, and then we will work with partners to explore the global market.

Surya Narayan: Understood, sir. Thank you, sir.

Moderator: The next question comes from the line of Zaki Nasser, an Individual Investor . Please go ahead.

Zaki Nasser: Sir, congratulations on a pretty stable set of numbers. Sir, going forward, our public issue - was hardly six months back , and we had a certain value proposition for the company. So , do you think that going forward in the current year, that value proposition will play out, sir, with a small lag? Because we came at a certain valuation and maybe the markets - maybe a small lag in the performance coming in or maybe its just the perception that investors have not understood the company well, sir. So , your thoughts on this issue, Thank you.
Pragnyat Lalwani: Sir, our thought is that we have

always believed in performance, and we believe in growth and we continue to reaffirm our commitment to those two attributes. To my mind, our job is to ensure that we grow, we innovate, we deliver and remain profitable . How the market perceives us is a little bit in our hand s in terms of how we communicate, and this is one exercise in that direction. Now how the market evaluates us, is a matter of which is probably left to the market, but at our end we are ensuring that whatever our story, whatever our business focus, which was there prior to the IPO, during the IPO, still remains. There's absolutely no loss of focus or loss of business intensity from our side.
And probably , as we said earlier, that many times, you're facing some structural headwinds because of factors beyond our control, which are more to do with regulatory in nature, which are also to do with the nature of the consumption pattern .
We feel that those are behind us now , and also with the IoT engine growing well, for example, last year in the IoT business we grew close to about 48%. We expect to at least match that , if not better , that number in the coming year. And also , we see some stability in our communication and fulfilment business . There could be a marginal decline , but overall, we are fine with that. And as I said earlier, on the metal card side also, we have good visibility this year in terms of growing that business as well as the base payment card business. So , from our perspective, we still carry the same value proposition that we carried prior to the IPO, along with the IPO. And we just hope that the environment allows us to amply demonstrate our intent and execute and deliver on that.
Zaki Nasser: So, would you say that , I mean of course the funds implementation on the IPO will take a lag of a couple of quarters. So , do you think the full potential of Seshaasai will pan out in the current year, sir?
Pragnyat Lalwani: I think whenever we operate, sir, we try to operate at our full potential. As I said earlier also, see, we need to understand the nature of our industry and the nature of our products. See, we are in industry which is probably a product -led industry , also having the pseudo nature of a services industry, right?
Quite a lot of our demand is generated by our end customers, whose demand is also generated based , as we explained earlier, on certain factors, which are driven by their strategies, driven by the regulator, driven by the market . So, there we are probably working on a back -to-back business model basis, where however customers strategize their business demand.

One thing I can assure you is that at Seshaasai, when a customer demands and customer need s us to scale, when customer needs us to deliver, when customer needs us to ensure we innovate, we are there, right? From a business side, we have not essentially lost any major account. We ensure that our shares in t hose accounts remains the same.
We've also ensured that, for example, we've added 21 new accounts in the payment business this year. We've added close to 65 new customers in the IoT business. We've added close to eight customers in the CFS business. So , from our perspective, the energy and the zeal are there to grow.
Probably some of it is definitely a factor of how our enterprise customers themselves generate demand. But I can assure you that from our side, in any given year, we are here to perform to our full potential. We should just wait for the circumstances to allow us to do that.
Zaki Nasser: Thank you sir. Best wishes.
Moderator: The next question comes from the line of Yashwant Shubham with ICICI. Please go ahead.
Yashwant Shubham: Yes. So, I just wanted to ask on the international front, like how is the expansion plan going on in current the war situation and also if you have any setup, any personalization b

ureau in any country? And one last question on the revenue front, like what is the portion of international revenue in FY ‘26 or Q4?
Pragnyat Lalwani: See, as part of our strategy, at least for FY ‘26, we've been working on some international opportunities where we are working with partners in those countries. And we strengthen our

partners and work on a back -to-back basis with them on the local opportunities on which they've been working.
In this year, we will be deepening our focus on international opportunities, especially on some of our niche products, both in IoT and the Payment Solutions business. For this current year, we do not have any plans to open a personalization bureau in the overseas market.
Pavan Kumar: So, we do not have significant export revenue currently. However, we're working on some of our products and evolving the portfolios on that. Revenue from exports has been about INR 3 crores in FY '26.
Yashwant Shubham: Okay . And last question, if you have any contracts or any agreement s under discussion on the international front currently going on?
Pragnyat Lalwani: As I said in my opening remarks , that there are some large overseas fintech players who have shortlisted us in their global RFP. So , there are opportunities on which we are working right now. But they are still at the stage of evaluation. So , we do not have revenue visibility as of now on that. But it's been a process through which we have gone through for almost about the last 4 to 5 months, and we expect some positive outcomes from that.
Yashwant Shubham: Yes. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Vedant Agarwal with IIFL Capital. Please go ahead.
Vedant Agarwal: Thank you for the opportunity. First of all, it's a great set of numbers. I wanted to ask that what are the type of guidance that you're building in for FY '27, if you could share the Y -o-Y growth for all the three business segments? And one more question that what sort of capex can we expect going forward?
Pavan Kumar: Vedant, at this point in time, it's difficult to give guidance for FY '27, considering the macroeconomic environment, etc. We'll refrain from doing that and see how things go and then probably revisit this at the end of Q1. On the capex side, we have a plan of investing close to about INR 160 crores to INR 200-odd crores through the year across Payment Solutions and IoT business verticals , as well as overall modernization , of which some funds would come in from the IPO fund.
Vedant Agarwal: Okay sir. Thank you so much. That answers my question.
Moderator: Thank you. The next question comes from the line of Maitri Shah with Sapphire Capital. Please go ahead.
Maitri Shah: Thank you for this opportunity. Just one question. So once our IoT solution kind of scales up with SIM and eSIMs going forward for the next year, how do you see the proportion of the business kind of changing that the kind of business mix is changing, which is helping out with the margins ?
Do you expect the IoT solution to start contributing close to 20% of the overall revenue? And how do you see that kind of scaling up and then kind of like effect on margins growing for the next 1 to 2 years?
Pragnyat Lalwani: We've grown in the IoT business pretty strongly over the last 2 years. And as I said, this year, the IoT business grew, I think, 47% Y -o-Y between FY '25 to FY '26. So , the current business outlook that we have for FY '27 on the IoT business - we expect that numbers should be definitely better than what this year was. We should be definitely growing upward of 47% in the IoT business.
And obviously, if we continue to grow at that brisk pace, the overall contribution of IoT to revenue will proportionately increase as it has been doing over the last few years. And as we see the IoT business, the n

ature of the business as it is, it would contribute more meaningfully towards the overall margin s.
Maitri Shah: Any quantification on how you see the margins scaling up over the next year, 1.5 years? Any near-term guidance on the margins you have with the SIM and the eSIM coming in and this business kind of contributing more?
Pavan Kumar: Yes. So on the margin side as well, while we've got a good set of numbers for FY '26 , we'd want to probably wait and see how the situation evolves in terms of foreign exchange currency as well as input prices across materials, which are rising , and see how the situation evolves to get

a better sense of the numbers for the full year. But as Mr. Pragnyat said, as the product mix moves with IoT and eSIM and other solutions, we definitely expect a good set of numbers.

Maitri Shah: Yes. That's it from my side. Thank you. All the best.
Moderator: The next question comes from the line of Chintan Shah from JM Financial. Please go ahead.
Chintan Shah: Hi. Thank you for the opportunity. So , I had three questions. So first one is , i need more clarification on this patent that we have secured for metal cards. So just wanted to know, does this sort of grant any exclusivity to us - that cards can be manufactured only by us and not peers? Or is this something else?
Pragnyat Lalwani: How the patent regime works, Chintan, is that you file your patent for some innovation that you've done and some novelty that you've achieved in producing that product, right? So as long as we are producing that product using that patent, you'll obviously be producing in absolutely trouble -free with that patent.
While a person has a patent who wants to use the product or manufacturing in a certain way, it does not ref rain anybody else if the other person has another novelty or innovation to produce his product, right? So that's how the patenting regime works that if there are multiple people who've got their patents granted for the way they produce their product, they can continue to produce the product , provided they comply with the process that they define in the patent.
Chintan Shah: Got it. Understood. So just one more follow -up here. What would be the mix of, let's say, metal cards probably in terms of value for FY '26? And with this patent now in place, does it mean that from here on, we could have more discussion s with clients and probably we could see a meaningfully higher growth versus in the past?
Pragnyat Lalwani: Chintan, I've got this question from a couple of people. I don't know where this confusion is getting created in the ecosystem. I'll just try to clarify this. We have filed for a patent in October 2021, okay? So , when you have a novelty and you file for it, you are prot ected from the day you file it.
So, there's never a case that you produce a product and then you - get a patent granted and then you can go out to sell. We've been selling for the last 3 years a product which has been protected by our own IP and our own novelty and innovation, right? It's just that the process takes time to get granted.
So, from a business perspective, there never was any difference in the way we are conducting ourselves or the way we are offering the product to customers all along protected and we remain protected. So , I don't think it was any big enabler. It becomes, I would say, a disabler, but it becomes a big enabler now, now that it is granted and then we are in a better shape to ensure that what we're using is not transgressed or violated by anybody else, yes.
Chintan Shah: Got it. Understood. That's very clear. And if you could call out sort of the mix in our payment solution business, the metal cards mix?

Pragnyat Lalwani: Yes. I would say right now, the metal card overall in our payment solution b

usiness contributes
close to about 4% in the payment.
Chintan Shah: Okay.
Pragnyat Lalwani: And we see that hopefully to improve in the coming year.
Chintan Shah: Got it. Understood. And secondly, on the RFID side, so we were in the process of starting to monetize our software aspect as well. So just wanted to know from your side if there's any update on it? And are we seeing any traction with our customers?
Pragnyat Lalwani: We've done some interesting projects on the IoT side. For example, we have done a project with a large government power -generating company where we rolled out our software using Bluetooth and RFID for handling assets on a 10 -square -kilometer large plant which is under construction, where our software is integrated both in the handheld devices and on the cloud.
We've taken a very calibrated approach here where we are working and going with specific use cases. There are, I think, a couple of them which have been rolled out now and the performance has been very stable. Now with that behind us, we will be probably f ocusing on larger opportunities for rollouts into larger ecosystem.
Chintan Shah: Got it. Understood. That's good to hear. And just the last question from my side. Are we sort of having any plans to do some backward integration into chips for the payment solution business or?
Pragnyat Lalwani: I think , Chintan, we'll probably park that question for some time. Once we make some good progress on that, we'll probably share that in due course.
Chintan Shah: Okay. Okay, fine. I got it. Understood. Thank you so much for answering all the questions.
Moderator: The next question is a follow -up question. It's from the line of Pratik Banthia. Please go ahead.
Pratik Banthia: Yes, hi. I just wanted to ask - you stated about doing inlay manufacturing in -house probably in the future. So , what kind of margin impact does backward integration bring in? And any aspirational timeline of when you would want to start doing inlay manufacturing?
Pragnyat Lalwani: It's a good question, Pratik. See, I'll tell you, we already have our equipment for inlay

manufacturing for the last 2.5 years . Now this is a very sophisticated and intricate process
because we are handling very nano wafers and putting them onto RFID antenna s. We also as a
part of the IPO process , scaled up our manufacturing and now we have 3 plants which can do
inlay manufacturing.
In the current situation, especially when we see the supply chain to be constrained, challenges
to come in , in terms of the supply costs, pricing volatility due to the currency fluctuation, we
feel this is going to be a very strategic tool for us to increase our market share, to increase our
profitability, and also to make a contribution to the nation in terms of reducing import
dependence.

We are already working on our own RFID inlays for the solar market , and we also are working
on some other products which are very innovative in cosmetics and healthcare. So , the local
inlay manufacturing has a very bright future. Definitely , when we buy the inlay from a third
party versus when you make the inlay yourself, it will have better margins. Probably we will
need to reach a little more scale , by which time we will have a meaningful contribution of it
towards the bottom line going forward.
Pratik Banthia: Yes, I just heard I need a little more scale for starting inlay manufacturing, is that right?
Pragnyat Lalwani: Yes, I just said that we've kind of now slowly been scaling up the inlay manufacturing. So , once
we start to scale, then it will contribute more meaningfully towards our bottom line in terms of
saving costs.
Pratik Banthia: Okay. Thanks for that answer. Thank you.
Moderator: Thank you. The next follow -up question comes from Surya Narayan. Please go ahead with the
question.
Surya Narayan: Yes. So just to un

derstand the margin improvement likely from here onwards due to backward
integration. So , what kind of margin increment possible for FY '27 and '28?
Pragnyat Lalwani: As we said, due to the current geopolitical situation, the macroeconomic factors, the currency
fluctuation, the challenges that every business is facing in terms of supply times, cost, et c., we
probably would not want to give any guidance at this stage. We'll travel some more distance and
have better visibility on how this whole crisis is playing out, then we will set up into guidance.
Surya Narayan: Okay. And sir, in the payment solution business, what is the current market share in the banking
industry we are having and what kind of vision we carry for FY '30?
Pragnyat Lalwani: Basically, the market share data which was last published was for FY '25 by the leading industry
analysts , and there we had a market share of 31.6% of the payment cards market in India. Now ,
as we said for FY '30, our approach has been constantly to ensure that we are relevant to the
customer's evolving needs. So , we are focusing on premiumization, we're focusing on metal
cards. We also have our cards certified by payment schemes for biometric cards.
We see sustainability being a very important aspect for banks , where they would like to ensure
that their carbon footprint is reduced, and they have their own sustainability goals. So , we're also
working on sustainable cards , both using recycled P VC as well as for wooden cards.
And obviously , as the new generation comes in, there are new payment form factors coming in.
We've done some innovation around feature phone automation, using technologies for some of
the large public sector banks which we cannot reveal under NDA.
So, our approach has been to always keep innovating as to what are the evolving needs of the
customer and the customer's customer and remain relevant. So , you can be rest assured that
whatever is the payment landscape by 2030, Seshaasai would be a sizeable value contributor in
that ecosystem.

Surya Narayan: In the card business, what is the current percentage of non -BFSI business we are having?
Pragnyat Lalwani: Basically, the non -BFSI customers are customers who work as system integrators for large
transit projects, some of them who work on forex cards, gift cards, etc. So probably the non -
BFSI in the payment card business is close to about more or less 4% of the total payment card
business.
Surya Narayan: Okay. So , there are a lot of other programs of the government - I mean, many social welfare
programs. So are we also interested to look at those spaces , considering the challenges from the
government side, I mean, in terms of, let's say, working capital issues. So are we interested to
have those areas in our portfolio?
Pragnyat Lalwani: Good question. I'll break it down into three parts. See, one is the banks issue Mu dra cards, the

bank s issue Kisan Credit Cards , and the bank s also issues financial inclusion cards. So that obviously, we do it as a service provider aligned to a particular bank who is conducting that program for the respective government agency . So, we do that as mandated by our banking customers.

On the second side, we also work on projects where, for example, there's a free transport offered to a certain entitle d category in a state, okay? It could also be for students, it could be for senior citizens, it could be for veterans of the armed forces, it could be for women.

They are the system integrators , and we work back -to-back where we give them the cards, which have the offline wallets on them, and the wallets are structured in such a manner that the discounting of the beneficiary is reflected under the wallet logic built into the card.

So, we're working on three state government projects, which are for beneficiaries for transport , probab

ly under announcement which have been done as part of the government's manifesto.

And the third aspect, which we are seeing some interest now, we are working on some pilot projects where certain state governments are evaluating working on a single card platform across multiple benefits that they're giving. It's just at a conceptual stag e now. But as it evolves, we would like to play a role there as well.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference call over to the management for closing comments.

Pragnyat Lalwani: It has been a pleasure interacting with you all today. We appreciate your continued trust and support. Thank you.

Pavan Kumar: Thank you once again everyone for joining us today. It was lovely interacting with all of you. Thank you so much.

Moderator: Thank you. On behalf of Seshaasai Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.